

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.'S
PROPOSED FINDINGS OF FACT**

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Pursuant to Rule 214 of the Federal Maritime Commission's (the "Commission" or "FMC") Rules of Practice and Procedure, 46 C.F.R. Section 502.214, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc., ("Complainant" or "BBBY") submits the following Proposed Findings of Fact and Conclusions of Law ("FOF") in support of its Opening Brief.¹

PROPOSED FINDINGS OF FACT

INTRODUCTION

1. On December 31, 2024, pursuant to 46 U.S.C. Section 41301, BBBY filed its Verified Complaint against Respondent BAL Container Line Co., Limited ("BAL" or "Respondent"). Dkt. No. 1 (the "Complaint") [APP-14].

2. Prior to filing the Complaint, BBBY and BAL entered into a written Tolling Agreement dated December 18, 2024, which tolled all claims alleged in the Complaint. Dec. 18, 2024 Tolling Agreement [APP-1].

3. As to transportation of cargo, BBBY's Complaint alleges that BAL's conduct with respect to BBBY and other shippers during the period 2021 through 2022 violated the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the "Shipping Act"):

- **COUNT I – Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 (Unjust and unreasonable assessment of detention and demurrage charges):** "BAL's assessment of the Charges, and the alleged acts or omissions of BAL that led to the assessment of such Charges, constituted failures by BAL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule. Furthermore, Respondents' practices and actions related to the assessment of demurrage and detention Charges under bills of lading with Complainant are inconsistent with or do not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations), in violation of 46 U.S.C. Section 41104(a)(14)." Complaint ¶¶ 35-36 [APP-14].

4. BBBY seeks reparations from BAL in connection with the above Count.

5. After fact and expert discovery, BBBY's direct damages from its actual injuries for which it seeks an award of reparations was calculated to a total amount of \$9,695,192.

¹ Citations to information in the record are contained in BBBY's Appendix ("App." or "APP- ____").

I. The Parties

A. 20230930-DK-BUTTERFLY-1, Inc. (Complainant)

6. Complainant 20230930-DK-Butterfly-1, Inc. is a corporation existing under the laws of New York with a mailing address: P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel's telephone numbers and email addresses listed below. Complaint ¶ 9 [APP-14].

7. For purposes of the shipments that are the subject of this action, BBBY was a “shipper” as that term is defined by 46 U.S.C. Section 40102(23). Complaint ¶ 9 [APP-14].

8. Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant's corporate name was Bed Bath & Beyond Inc. Complaint ¶ 9 [APP-14].

9. The below table lists certain BBBY personnel and their positions during 2021-2022 (the “Relevant Period”):

BBBY Personnel and Their Positions	
Name	Position and Responsibilities
Patrick Hackett	Senior Director of International Supply Chain , oversaw booking of shipments on carrier vessels and managed cargo movement from origin ports to U.S. destination ports. <i>See</i> Hackett Dep. Tr. 17:6-21, 18:11-24 [APP-598].
David Kastin	Chief Legal Officer when he joined in December 2022 but later became an independent consultant to BBBY's bankruptcy plan administrator following its dissolution and entry into Chapter 7 bankruptcy in September 2023. <i>See</i> Kastin Decl. ¶¶ 5-6 [APP-28].
Reid Klosowsky	Vice President of Supply Chain , oversaw transportation-related movement of goods from suppliers to facilities and from facilities to customers. <i>See</i> Klosowsky Dep. Tr. 21:9-22:1 [APP-885].
Paul Pastor	Senior Associate who reported to Patrick Hackett and Ed Wtulich, and was responsible for tracking shipments and working with ocean carriers. <i>See</i> Pastor Dep. Tr. 23:17-25:2 [APP-1088].
Melinda Porter	Senior Manager of Import Operations – West Coast , managed third-party logistics partnerships with providers who worked to unload BBBY containers and ship BBBYs products. <i>See</i> Porter Dep. Tr. 18:8-21 [APP-1112].
Gisella Stupnik	Import Warehouse Manager , reported to Melinda Porter and managed the acceptance and distribution of containers arriving at West Coast ports, coordinating the delivery of freight to distribution centers or directly to store locations. <i>See</i> Stupnik Dep. Tr. 15:15-25, 25:22-26:4 [APP-1156].

B. BAL (Respondent)

10. Respondent BAL Container Line Co., Limited is a company existing under the laws of the Hong Kong Special Administrative Region of the People's Republic of China with its principal place of business located at Office No. 2, 20/F, 135 Bonham Strand Centre, 135 Bonham Strand, Sheung Wan, Hong Kong. *See* Complaint ¶ 10 [APP-14]; Respondent's Answer to Verified First Amended Complaint, dated September 6, 2024 ("Respondent's Answer") ¶ 10 [APP-5].

11. Respondent BAL is an inactive vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with organization number 029233, subject to regulation by the FMC. Respondent was an active vessel-operating ocean common carrier during the time period relevant to this Complaint. *See* Complaint ¶ 10 [APP-14]; Respondent's Answer ¶ 10 [APP-5]; Cichen Shen, *Fast-growing upstart carriers exposed to spot rate volatility*, Lloyd's List (June 20, 2022) <https://www.lloydslist.com/LL1141272/Fast-growing-upstart-carriers-exposed-to-spot-rate-volatility> (last visited May 20, 2026) [APP-2503].

12. BAL's parent company is L.C. Logistics, Inc. ("LC"), a Qingdao, China-based logistics company whose stock became listed on the Hong Kong Stock Exchange in September 2023. As of June 2022, BAL was documented as the 44th largest container shipping line in the world at the time. McCown Report ¶ 2 [APP-33]; Cichen Shen, *Fast-growing upstart carriers exposed to spot rate volatility*, Lloyd's List (June 20, 2022) <https://www.lloydslist.com/LL1141272/Fast-growing-upstart-carriers-exposed-to-spot-rate-volatility> (last visited May 20, 2026) [APP-2503].

13. BAL was one of several new vessel operating common carriers ("VOCCs") based in China that were formed during the COVID-19 pandemic. Prior to acting as a VOCC, BAL operated as a non-vessel operating common carrier ("NVOCC") since 2012. Most of the new VOCCs arose, like BAL, as startups within existing logistics companies. McCown Report ¶ 29 [APP-33].

14. BAL transitioned into the VOCC segment based on short-term profit goals. Their NVOCC experience gave them pricing insight for potential customers, and they could selectively transition for profit. McCown Report ¶ 85 [APP-33].

15. BAL did not have experience with managing vessel and terminal operations. This inexperience led to container fluidity being "well below industry norms" during the pandemic and to congestion. McCown Report ¶ 86 [APP-33].

16. BAL also operated ships that were one-sixth the typical size of ships in the transpacific lane, and their operational inexperience led to voyage times taking longer than average in the transpacific lane. McCown Report ¶ 87 [APP-33].

17. The below table lists certain BAL personnel and their positions during the Relevant Period:

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BAL Personnel and Positions	
Name	Position and Responsibilities
Qingzhi Liu	Fleet Operation Department Manager responsible for the fleet's daily management and operation, and dealing with the agents at the destination dock in the US. <i>See</i> Liu Dep. Tr. 24:13-26:5 [APP-980].
Cathy Sun	Director of Equipment Control Department responsible for the tracking and management of containers. <i>See</i> Sun Dep. Tr. 21:11-25 [APP-1192].
Terry Ye	Vice President of BAL overseeing the company's operations in its entirety including setting D&D procedures, designing routes, overseeing market conditions, managing containers, and dealings with clients. <i>See</i> Ye Dep. Tr. 19:12-21:14 [APP-1280].
Parker Zhu	Assistant to Senior Vice President responsible for accounts payable and collecting funds from customers within China, as well as international agents that are overseas, and reports to Cinda Li. <i>See</i> Zhu Dep. Tr. 38:24-40:4 [APP-1348].
Cinda Li	Senior Vice President and wife of the company owner, Tim Su, who held final approval authority over special detention refunds or waivers that went beyond standard adjustments. <i>See</i> Ye Dep. Tr. 44:24-45:5, 45:20-46:7 [APP-1280]; Sun Corp. Dep. Tr. 18:14-19:3 [APP-1176]; Zhu Dep. Tr. 40:9-18 [APP-1348].

C. Norton Lilly International (Third Party)

18. Norton Lilly International, Inc. ("Norton Lilly") is an international shipping agency engaged in maritime and industrial logistic services. *See* About Us, Norton Lilly International, <https://nortonlilly.com/about-us/> (last visited May 20, 2026). [APP-2416].

19. During the relevant period, Norton Lilly served as BAL's U.S. agent with respect to detention and demurrage. *See* Zhu Corp. Dep. Tr. 21:9-15 ("Q. And in addition to Norton Lilly, did BAL use any other third parties as an agent in 2021 to 2022 with regard to collection of demurrage charges? A. No. To collect demurrage, the only agent is Norton Lilly.") [APP-1328]; Liu Dep. Tr. 30:17-31:2 ("Q. And what kind of assistance did you provide them with detention and demurrage disputes? A. Mainly regarding the specifics of our agent, Norton Lilly, to do specific communications. Q. Do you recall if Norton Lilly agents that you worked with were located at specific ports? A. Mainly Los Angeles.") [APP-980].

20. Norton Lilly determined detention charges based on BAL's rates and the individual container activity. *See* Sun Corp. Dep. Tr. 10:2-8 ("Q. Okay. In practice, how did BAL know what specific amounts to charge for detention charges in 2021 and 2022? A. Our U.S. agent, Norton Lilly, will calculate a detention charge according to our rate of charge as well as the containers' activities.") [APP-1176].

20.1. Detention invoices and communications occurred exclusively between Norton Lilly and the trucking companies, and were neither provided to BBY nor reviewed

by BAL. *See* Sun Corp. Dep. Tr. 19:19-20:9 (“Q. So did those communications occur between Norton Lilly and clients then? MR. CULLINANE: Objection. Vague as to the term ‘clients.’ THE WITNESS: So the detention invoice were given from Norton Lilly to the trucking companies. It is also not given to BBY. BY MR. MORRIS: Q. Okay. Was BAL reviewing these communications? A. The communications between Norton Lilly and the trucking companies are not reviewed by BAL.”) [APP-1176].

20.2. BAL’s invoice adjustments were directed to trucking companies, and there were no direct communications or transactions between BAL and BBY regarding detention refunds or waivers. *See* Sun Corp. Dep. Tr. 19:11-18 (“Q. Okay. Do you know whether BAL provided BBY with any refunds or waivers on detention charges at Long Beach or Los Angeles in 2021 and 2022? A. Since the adjustments on the invoices were directed to the trucking companies, there were no direct communications between BBY and BAL.”) [APP-1176].

21. Norton Lilly would discuss disputes over detention or questions over invoices with BAL so they could manage the situation accordingly. *See* Sun Dep. Tr. 39:13-40:17 (“Q. How did your department work with Norton Lilly? MR. CULLINANE: Objection, vague. THE WITNESS: Through daily communication, like -- such as container activity and abnormalities of the containers. BY MS. SHI: Q. Were there any discussions about detention? A. Yes. Q. Could you tell us more about that interaction? A. We would discuss about the rate; we would discuss about the situation of collection; and we would discuss about situations regarding the clients. Q. Did you also talk about detention disputes? A. Yes. Q. Could you tell us more about that discussion? MR. CULLINANE: Objection, overbroad. THE WITNESS: Sometimes clients would raise disputes or questions about invoices. We would manage according to actual situations.”) [APP-1192].

21.1. Norton Lilly did not have authority to handle disputes independently. *See* Sun. Dep. Tr. 42:15-23 (“Q. Does Norton Lilly have any authority to resolve detention disputes on its own? A. What are you referring to? To subtract the charge? Q. What authority does Norton Lilly have to mitigate or waive detention charges on its own? A. No.”) [APP-1192].

D. Yusen Logistics (Third Party)

22. Yusen Logistics (Americas) Inc. (“Yusen”) is a subsidiary of Yusen Logistics Co., Ltd., a global supply chain logistics company operating 748 distribution centers and offices across 437 cities in 46 countries and regions. *See About Us*, Yusen Logistics, https://www.yusen-logistics.com/us_en/about-us/about-us-overview (last visited May 20, 2026) [APP-2419].

22.1. Leveraging its global network and local expertise, Yusen provides tailored supply chain solutions for multinational companies such as Target and Procter & Gamble (P&G), ensuring the timely and efficient delivery of products to market. *See Industries – Retail*, Yusen Logistics, https://www.yusen-logistics.com/us_en/industries/retail (last visited May 20, 2026) [APP-2526].

22.2. Yusen has been recognized by *Inbound Logistics*, a leading publication in the industry, as one of the Top 100 third-party logistics providers for its exceptional ability

to tackle complex supply chain challenges and deliver outstanding logistics solutions, achieving a gross logistics revenue of approximately \$5.157 billion in 2025. *See 2025 Top 100 3PLs*, Inbound Logistics, <https://www.inboundlogistics.com/articles/top-100-3pls/> (last visited May 20, 2026) [APP-2377]; *A&A's Top 50 Global Third-Party Logistics Providers (3PLs) List – 2026*, Armstrong & Associates, Inc., <https://www.3plogistics.com/3pl-market-info-resources/3pl-market-information/aas-top-50-global-third-party-logistics-providers-3pls-list/> (last visited May 20, 2026) [APP-2411].

23. During the Relevant Period, Yusen served as BBBY's booking agent and third-party logistics service provider for BBBY with respect to ocean freight transportation. *See* Klosowsky Dep. Tr. 27:17-19 ("A. We used a service provider called Yusen Logistics, who was responsible for booking and coordination with overseas suppliers.") [APP-885].

II. Impacts of the COVID-19 Pandemic on the Shipping Industry

24. During the COVID-19 Pandemic, marine terminals around the world, including those at Los Angeles and Long Beach, experienced severe congestion. *See* McCown Report) ¶ 99 [APP-33]. *See also* Ye Dep. Tr. 23:12-24:7 ("Q. And what effects did you see as a result of your monitoring? MR. CULLINANE: Objection. Vague. Q. You can still answer. A. To be honest, by that time China had the pandemic for over a year. China had used many efforts in order to increase the efficiency of the ports and it shows. However, for the US side I feel that their efficiency was not compared to pre-pandemic. Not only that, I think it was -- not only did it not increase, it went backwards. Q. Can you clarify how it went backwards, Mr. Ye? A Their efficiency of work at the ports, as well as the time that it took for work to be done.") [APP-1280].

25. Port congestion in the United States during the pandemic resulted in part from a rise in online purchases of consumer goods, which led to a corresponding increase in shipping volume and bottlenecks. *See* Porter Dep. Tr. 33:18-34:2 ("Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we -- as planned.") [APP-1112]; Stupnik Dep. Tr. 28:23-29:7 ("Q. Did you experience significant increase of freight during the pandemic? MR. MORRIS: Objection to form. THE WITNESS: Yes. Q. BY MS. ABUALSAMEN: Did you experience any spacing issues in connection with that increase of freight? A. Yes. Q. And was this during the 2021 and 2022? A. Yes.") [APP-1156].

26. The Ports of Los Angeles and Long Beach, specifically, which together handle about 40% of the nation's cargo container imports, experienced severe congestion in 2021. The backlog was linked to the surging demand for imports as the US economy reopened. *See* Daniel Thomas, *Record backlog of cargo ships at California ports*, BBC (Sept. 21, 2021), <https://www.bbc.com/news/business-58643717> (last visited May 20, 2026) [APP-3450]. For example:

26.1. **August 2021:** Congestion was particularly severe, with a record 44 vessels queuing up to dock at the Ports of Los Angeles and Long Beach. *See* Brendan Murray, *U.S.*

Port Problems Reach Worst of Pandemic Amid Crush of Imports, Bloomberg at2 (Aug. 28, 2021), <https://www.bloomberg.com/news/articles/2021-08-28/u-s-port-problems-reach-worst-of-pandemic-amid-crush-of-imports> (last visited May 20, 2026) [APP-3470].

26.2. **September 2021:** The congestion persisted, leading to record numbers of vessels arriving and waiting at Southern California ports. A record 73 vessels were stuck waiting—nearly twice as many as at the same time in August. At the Port of Los Angeles alone, the amount of cargo handled was up 30% compared with the whole of 2020. *See* Daniel Thomas, *Record Backlog of Cargo Ships at California Ports*, BBC News at 1-2 (Sept. 21, 2021), <https://www.bbc.com/news/business-58643717> (last visited May 20, 2026) [APP-3450].

26.3. **October 2021:** The average wait time for ships to dock at the Ports of Los Angeles and Long Beach was about 10 days. Wait times had also grown longer for ships to dock and unload cargo at other ports around the country. *See* Chris Isidore, *Everything you're waiting for is in these containers*, CNN Business, at 4-5 (Oct. 23, 2021), <https://www.cnn.com/2021/10/20/business/la-long-beach-port-congestion-problem-national-impact/index.html> (last visited May 20, 2026) [APP-2453].

26.4. **November 2021:** Starting November 16, 2021, boats crossing the Pacific were asked to sit 150 miles offshore as they waited for a slot to unload their cargo, while boats traveling north or south along the coast were asked to sit 50 miles out. Containers experienced a record high backlog. *See* Sam Dean, *Is the ports logjam really getting better? The numbers don't tell the whole story*, L.A. Times, at 2 (Dec. 3, 2021), <https://www.latimes.com/business/story/2021-12-03/officials-say-the-ports-logjam-is-easing-but-numbers-dont-tell-the-whole-story> (last visited May 20, 2026) [APP-2529].

26.5. **December 2021:** On December 20, 2021, the Port of Los Angeles Operations Report indicated that 24 container vessels were anchored and waiting to dock within 40 miles of the port, and another 67 were loitering or steaming toward the San Pedro Bay. Container vessels waited an average of 19.9 to 33.4 days to reach a terminal to unload their containers. *See Weekly Vessels Anchored and at Terminals as of 12/24/2021*, Western Overseas Corporation, at 1, <https://www.westernoverseas.com/port-congestion-update-12-24-21/> (last visited May 20, 2026) [APP-3482].

26.6. **January 2022:** The Port of Los Angeles handled 865,595 TEUs, marking its busiest January in history. *See Los Angeles has Record January as Steps Continue to Address Congestion*, The Maritime Executive, at 2 (Feb. 17, 2022), <https://maritime-executive.com/article/los-angeles-has-record-january-as-steps-continue-to-address-congestion> (last visited May 20, 2026) [APP-3383]. A record 109 ships awaited entry into the Ports of Los Angeles and Long Beach, often stretching to south Orange County. *See* Donna Littlejohn, *Los Angeles, Long Beach Ports Hail Supply Chain Progress*, Transport Topics, at 1 (Aug. 15, 2022), <https://www.ttnews.com/articles/los-angeles-long-beach-ports-hail-supply-chain-progress> (last visited May 20, 2026) [APP-3389].

26.7. **February 2022:** More than 70 container vessels waited outside Los Angeles, while 62,000 empty containers accumulated across terminal facilities and off-

deck depots. *See* Shawn Baldwin, *What's behind the congestion at U.S. Ports*, CNBC, at 2 (Feb. 18, 2022), <https://www.cnbc.com/2022/02/18/whats-behind-the-congestion-at-us-ports.html> (last visited May 20, 2026) [APP-3485]; McCown Report ¶105 [APP-33].

26.8. March – May 2022: The U.S. Department of Transportation's (USDOT) Transportation Supply Chain Indicator Tracker showed that the Ports of Los Angeles, Long Beach, and New York/New Jersey, collectively the top 3 for container volume to the U.S., imported 260,000 more containers in March versus February. *See USDOT Supply Chain Tracker Shows Historic Levels of Goods Coming into U.S., Continued Challenges with Congestion*, U.S. Dep't of Transp., at 1 (May 13, 2022), <https://www.transportation.gov/briefing-room/usdot-supply-chain-tracker-shows-historic-levels-goods-coming-us-continued-challenges> (last visited May 20, 2026) [APP-3473].

27. During the pandemic, the irregular flow of containers created gridlock at port terminals. *See* Klosowsky Dep. Tr. 121:14-122:1 (“Q. And so my question was just: What did you mean by ‘extreme times’? A. The bigger picture around the fact that there was this shutdown overseas in terms of factories not being able to produce, and then when they came back up online working again, those orders that were supposed to have shipped earlier got bunched up with orders that were currently being shipped, and that just kind of cascaded this idea of, you know, kind of like a tidal wave, that normally through a -- over the year, we would plan out the order and the flow of containers so that it was more even around -- across the shipping days and shipping months of the year.”) [APP-885].

28. Port congestion during the COVID-19 pandemic caused significant delays in shipping operations, creating bottlenecks as queues of vessels waited outside ports due to insufficient marine terminal capacity. McCown Report ¶ 100 [APP-33]; Deborah Lockridge, *HDT Fact Book 2022: Out-of-Sync Supply Chains & Logistics Transformation*, Heavy Duty Trucking (Aug. 31, 2022), <https://www.truckinginfo.com/10180110/hdt-fact-book-2022-out-of-sync-supply-chainslogistics-transformation> (last visited May 20, 2026) [APP-2508].

29. Port congestion during the COVID-19 pandemic was compounded by the fact that every US port was experiencing congestion. *See* Liu Dep. Tr. 32:12-22 (“Q. During 2021 through the 2022 period, did port congestion make it harder to pick up containers at US ports? A. Well, the port congestion of course would bring difficulties, otherwise the port would not be congested. Q. What ports in particular were affected by this congestion? A. As far as I remember, I think every port has this problem.”) [APP-980].

30. Supply chain disruptions during the COVID-19 pandemic resulted in systemic port congestion. McCown Report ¶ 99 [APP-33].

30.1. The unprecedented volume disruptions during the COVID-19 pandemic exceeded the capacity of all participants in the supply chain to respond under normal operating conditions. *See* Klosowsky Dep. Tr. 83:21-23 (“I don’t think anybody had the infrastructure, the ports, the ocean carriers, Bed Bath, anybody else, had the ability to deal with it as normal.”) [APP-885].

31. Planned shipping schedules were disrupted during the pandemic, leading to bottlenecks followed by sudden releases of containers. *See* Porter Dep. Tr. 33:12-34:5 (“Q. Okay. It sounds like an overwhelming situation to be in from -- from your chair in 2021 and 2022. Did you feel like the volume coming in was just way more than you had capacity to handle in 2021 and 2022? A. You know, to be honest with you, I think it -- for me and my team at St. George, it was very frustrating. Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we -- as planned. And, you know, whether it was the port, whether it was stuff coming in from China, it -- it was -- I mean, even now talking about it, it was very frustrating.”) [APP-1112]; McCown Report ¶ 100 [APP-33]; Deborah Lockridge, *HDT Fact Book 2022: Out-of-Sync Supply Chains & Logistics Transformation*, Heavy Duty Trucking (Aug. 31, 2022), <https://www.truckinginfo.com/articles/hdt-fact-book-2022-out-of-sync-supply-chains-logistics-transformation>(last visited May 20, 2026) [APP-2508].

32. These bottlenecks prevented products from reaching stores. *See* Kastin Corp. Dep. Tr. 38:12-38:24 (“A. If the products are not in the store or distribution center -- if the product is not in the distribution centers, it can't get to the stores. Being stuck in a container in a port is not useful to stocking shelves. Q. Are you saying that BAL held the containers at the port? A. Bed Bath had a very difficult time getting containers from the port to its stores -- or the distribution centers to its stores. And then all the fees and excess charges that carriers and drayage companies and all the others charged in connection with it. It was almost like a spiraling [e]ffect.”) [APP-761].

33. The impacts of congestion at the Ports of Los Angeles and Long Beach were widespread during the COVID-19 pandemic. For example:

33.1. Import cargo could not exit marine terminals quickly enough to allow for new import cargo delivery from incoming vessels from Asia. *See* Klosowsky Dep. Tr. 61:18-25 (“Well, at that time a lot of the issues that had been created upstream in -- what I mean by that is over in -- in Asia, primarily China, where factories were closed, those orders got bunched up, and then they landed in, you know, Southern California in large quantities, higher quantities than the ports could handle and local equipment could keep up with.”) [APP-885].

33.2. Vessel delays led to significant container backlogs waiting to be loaded onto vessels. *See* Klosowsky Dep. Tr. 39:22-24 (“Q. Do you recall that there were lots of vessels anchored out in the LA Long Beach in November of 2021? A. I do.”) [APP-885].

33.3. Significant numbers of containers idled at the Ports of Los Angeles and Long Beach, leading to unpredictability in container movement. *See* Porter Dep. Tr. 59:2-13 (“Q. Between the fall of 2021 and the end of 2022, would it have been unusual for it -- for BBB to take a couple months to pick up a container from the Port of Long Beach and LA? A. You know, to be honest, because of what was going on, like, I can't specifically say that would be unusual or a norm, because there was a lot of things that were very unusual for that time. And, you know, containers dwelling at the port, at our facility,

empties, I mean, it was just a mess everywhere in Southern California. So anything that occurred at that time, I cannot say that was a norm.”) [APP-1112].

33.4. Significant numbers of containers idled at yards waiting to be unloaded. *See* Porter Dep. Tr. 30:19-31:4 (“Q. Okay. And in 2021 and 2022, were containers with Bed Bath & Beyond goods in them sitting around waiting to be unloaded? A. There were containers in our yard waiting to be unloaded. Q. And then a similar question is: In 2021 and 2022, at those four locations were there empty containers sitting around waiting to go back to the Ports of LA and Long Beach? A. At that time, there were containers, yes, pending empty returns.”) [APP-1112].

33.5. During this time, containers were buried in stacks at ports. [REDACTED]

[REDACTED] [APP-1521]; *see also* Dani Anguiano, *‘Like a freeway in traffic’: America’s busiest ports choked by a pandemic holiday*, *The Guardian*, at 2 (Dec. 21, 2021), <https://www.theguardian.com/business/2021/dec/21/inside-americas-busiest-port-during-holidays> (last visited May 21, 2026) [APP-2369].

33.6. During this time, there were long queues of trucks at terminal gates. *See* Klosowsky Dep. Tr. 58:4-8 (describing restricted gate hours and appointment scarcity making it difficult to pick up containers) [APP-885]; Porter Dep. Tr. 41:11-42:12 (even bringing additional dray partners was insufficient to overcome chassis shortage) [APP-1112].

33.7. During this time, there were extensive chassis shortages. *See* Klosowsky Dep. Tr. 62:23-63:2 (“And so a lot of us were looking for capacity in terms of chassis specifically. There were a number of drivers and tractors. It was chassis that seemed to have fallen short, I would say, in the fall of ‘21 and into early 2022.”) [APP-885]; Porter Dep. Tr. 41:23-42:2 (“And, you know, with chassis shortages, we reached out to Forrest Logistics, who’s a broker, to see if they could help, you know, using a broker model to help us get additional capacity to get containers off dock.”), 42:5-12 (“Q. It sounds like you’re saying that Knight and Pacific Drayage didn’t have the capacity to handle all of the containers for BBB? A. They would have had the capacity, but the issue we -- seems like everybody was running into was that there was a chassis shortage. So we needed to go out and get other carriers that had chassis available to help us get containers.”) [APP-1112]; Stupnik Dep. Tr. 29:8-13 (“Q. Were there any chassis shortages? MR. MORRIS: Objection to form. THE WITNESS: That’s what I heard. Q. BY MS. ABUALSAMEN: Did you experience it? MR. MORRIS: Objection to form. THE WITNESS: I saw emails.”) [APP-1156].

33.7.1. The shortage of available chassis was exacerbated by the institution of chassis pools, the sharing of chassis by multiple carriers, truckers, and terminals. *See* Klosowsky Dep. Tr. 62:12-23 (“You mentioned difficulty with chassis earlier. What was the difficulty with chassis that you were referring to? A. I think the

common pool had kind of been consumed by lots of shippers. My recollection, again, was there were a few companies, some really big ones, like Target and Amazon and maybe Walmart, that I just remember them consuming a lot of the available equipment and the next tier of shippers, and we were far smaller than those companies, as my recollection goes. We were all kind of left in the -- you know, the wake of that high demand.”) [APP-885]; Porter Dep. Tr. 42:14-19 (“Do you know whose responsibility it was to find the chassis in this situation we’re talking about? A. Well -- well, the dray carriers, they have their own chassis fleets. But also we relied on the -- the chassis pool that the ports were using. And, unfortunately, they were running short, too.”) [APP-1112].

33.8. During this time, there was a shortage of appointments for picking up laden containers or dropping off empty containers, leading to dwelling containers outside of BBY’s control and to full warehouses. *See* Klosowsky Dep. Tr. 58:4-8 (“If I’m recalling correctly in Southern California, some of the times, the gate times were restricted. It was hard to get an appointment. There were a number of challenges at that time getting containers off port.”) [APP-885]; Porter Dep. Tr. 64:18-24 (“Q. So we talked earlier about, you know, clearing the demurrage. My understanding is that the demurrage had to be cleared before the container could be picked up; is that right? A. Yes, because depending on the terminal, you couldn’t even get an appointment unless the demurrage was cleared.”) [APP-1112]; Stupnik Dep. Tr. 24:21-25:5 (“Q. BY MS. ABUALSAMEN: Do you know why the warehouses were full? MR. MORRIS: Objection to form. THE WITNESS: They were full because empty containers could not be returned to port. Q. BY MS. ABUALSAMEN: Do you have any understanding why the empty containers could not be returned to port? A. I just heard conversation about no chassis, no empty appointment, no return terminals available.”) [APP-1156]; Liu Dep. Tr. 34:9-15 (“Q Do you recall whether truckers had issues obtaining appointments to pick up or return containers in 2021 through 2022 at LA Long Beach? A This situation did exist at some point.”) [APP-980]; Hackett Dep, Tr. 60:13:-61:10 (“Q. So I guess my question would be: Is my understanding correct, that these are BAL containers that have been sitting at the port for, you know, a little over or under a month, and they have not been picked up by Bed Bath & Beyond yet? A. It does appear that way. I can tell you that also during this time what we found -- and it wasn’t just Los Angeles, but all the ports -- they were getting very clogged, and oftentimes, containers could be and would be put like in a closed area of a yard or maybe just unavailable to get picked up. Also, because of really during that time the congestion at these different terminals, for the most part, you always needed a pickup appointment. And if they didn’t have any appointments, that could also be a reason why something might sit there. So the terminal just -- you know, also drayage carriers, they were obviously very busy. A lack of chassis. So there’s a multitude, I think, of things, especially at that time, that may have contributed to a container maybe not getting picked up in a timely fashion.”) [APP-598].

34. In response to severe congestion, the Ports of Los Angeles and Long Beach implemented a “no empty in” / “dual appointment” / “dual transaction” restriction for containers, requiring that which for each empty container a shipper dropped off, the shipper must also arrange the simultaneous pick up of a loaded container during the same visit. *See* Klosowsky Dep. Tr. 57:13-58:3 (“And I also recall there being issues with you couldn’t take a container off the port unless you had an empty to swap it with, if you understand. So you had to bring one back to get

one out. You couldn't just take a container. I -- I don't remember exactly the timeframe for that, but I recall that being an issue at the time. Q. And I'm familiar with -- I remember that as well. And that was a terminal requirement; right? Because they -- they were worried about all the space that was being taken up? A. Yes. And chassis being used for those containers to be moved on. So you couldn't just -- there was no -- you couldn't show up with a truck. You had to bring a chassis and an empty container during certain hours as well.") [APP-885]; Liu Dep. Tr. 38:8-15 ("Q. Was the requirements for dual transactions an urgent problem during November 2021? A. Well, regarding this dual transaction, these are requirements of LBCT and WBCT docks and I don't know, terminals and I don't know exactly how to define this dual transaction.") [APP-980]; Ye Dep. Tr. 26:2-24 ("Q What is dual appointment? A I'd like to make an addition. In 2021 in August, the company had hired in the US side, hired Julio Captain and I was informed that when a client is returning an empty container to the terminal, he must also pick up another container. I think that was what dual appointments are. Q Where did you get this information from, Mr. Ye? Where did you hear it from? A What was added before was that this was explained to me by our Julio Captain. Q Do you know if this requirement explained to you by Julio Captain was just for shipments coming into the US? MR. CULLINANE: Objection. Calls for speculation. A Personally I have only encountered this in the US.") [APP-1280].

34.1. "No empty in" / "dual appointment" / "dual transaction" requirements prevented the return of many empty containers that terminals badly needed. *See* Stupnik Dep. Tr. 24:21-25:5 ("Q. BY MS. ABUALSAMEN: Do you know why the warehouses were full? MR. MORRIS: Objection to form. THE WITNESS: They were full because empty containers could not be returned to port. Q. BY MS. ABUALSAMEN: Do you have any understanding why the empty containers could not be returned to port? A. I just heard conversation about no chassis, no empty appointment, no return terminals available.") [APP-1156].

34.2. BAL was aware that dual-appointment requirements contributed to port congestion in instances where BAL's customers such as BBY did not have laden containers to pick up or laden containers were inaccessible. *See* [REDACTED]

[APP-1491]; Zhu Dep. Tr. 59:18-25 (summarizing the email in the previous citation by stating "these two terminals, they're asking for dual transactions to return the empty containers and if a container is not -- a filled container is not being -- is not there with the empty containers, then they are not allowed to pick up at that unit.") [APP-1348].

35. BAL staff were aware of the port and rail congestion issues that all shippers, including BBY, faced from 2020 through 2022. *See* Sun Corp. Dep. Tr. 17:14-18:7 ("Q. Was BAL aware of port congestion at Los Angeles and Long Beach in 2021 and 2022? A. Yes. Q. What was BAL's understanding of what was happening with port congestion at the time at Los Angeles and Long Beach? MR. CULLINANE: I'm just going to object that the question is outside the scope of the appointed topic, but the witness can answer in her personal capacity. THE WITNESS: Personally speaking, the port congestion was due to the import volume in U.S. that has a sudden increase

within a short amount of time, which is exceeding the daily operating limit, that's why.") [APP-1176]; Liu Dep. Tr. 31:5-12 ("Just to take a step back, were you monitoring the effects of COVID-19 on port congestion? MR. CULLINANE: Objection. Vague and ambiguous. A As far as the Los Angeles port congestion, at the time many people know about this situation.") [APP-980]; Ye Dep. Tr. 22:13-25 ("Q So once COVID was occurring, did anyone at BAL monitor the effects of the pandemic on port congestion? MR. CULLINANE: Objection. Vague. Q You can still answer, Mr. Ye. A So I came to BAL in the year 2021 in August. I am unsure of the situation before that, but when I started I had to continuously monitor the situation in China, as well as US in terms of the port situation."), 27:9-22 ("Q And how long did you continue this monitoring process for? A So this is part of my market research and I would pay attention continuously to all the ports in the world. Q So do you continue to monitor congestion impacts in your role today? A That's right. I continuously read about our LA ports through our agent. I also pay attention to the situation at Panama Canal, even Houston. I read continuously.") [APP-1280].

36. Congestion issues during the pandemic were well known not just to carriers but to parties involved in all aspects of the supply chain. *See* Klosowsky Dep. Tr. 135:24-136:7 ("I mean, I remember seeing the port directors, you know, on the morning news. You know, like you never saw that before; right? Everybody was asking me on a -- you know, people that had no idea about supply chain or even used the term before were asking me questions about it. Like that -- I think that's -- you know, and maybe I'm not quite understanding your question completely, but I think that was kind of the line there for me, at least.") [APP-885]; Porter Dep. Tr. 33:12-34:16 (describing cascading bottlenecking effects on BBBY's Southern California operations) [APP-1112].

37. Congestion issues during the Relevant Period were well documented. For example:

37.1. Lack of appointments:

37.1.1. [REDACTED] [APP-1744].

37.1.2. [REDACTED] [APP-1755], [REDACTED] [APP-1756].

37.1.3. [REDACTED] [APP-1788].

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

37.1.4.

[APP-2289];

[APP-2290].

37.1.5

[APP-1902].

37.1.6.

[APP-2307].

37.1.7.

[APP-1666];

[APP-1718].

37.1.8.

[APP-1568].

37.1.9.

[APP-1595];

[APP-1599].

37.1.10.

[APP-1760].

37.1.11.

[APP-2080].

37.1.12.

[APP-1725].

37.1.13.

[APP-1945];

[APP-2109];

[APP-2150].

37.2. Equipment issues:

37.2.1.

[APP-1835];

[APP-1845].

37.2.1.1.

[APP-1890].

37.2.2.

[APP-2102].

37.2.3.

[APP-2218].

37.2.4.

[APP-1706].

37.2.5.

[APP-1745].

37.2.6.

APP-2303].

37.2.7.

[APP-1699].

37.2.8.

[REDACTED] [APP-1890]; [REDACTED]
[REDACTED] [APP-1902].

37.2.9. [REDACTED]
[REDACTED]
[REDACTED] [APP-1881].

37.2.10. [REDACTED]
[REDACTED] [APP-1745].

37.2.11. [REDACTED]
[REDACTED] [APP-2242]; [REDACTED] [APP-2254].

37.2.12. [REDACTED]
[REDACTED] [APP-2277].

37.3. Congestion restricted BBY efforts to retrieve and return containers:

37.3.1. [REDACTED]
[REDACTED] [APP-1628].

37.3.2. [REDACTED]
[REDACTED] [APP-1699].

37.3.3. [REDACTED]
[REDACTED] [APP-1704].

37.3.4. Congestion restricted BAL's ability to accept empty containers. *See*
[REDACTED] [APP-1845].
[REDACTED]

[APP-1835].

[APP-1835].

[APP-1835].

[APP-1835].

[APP-1835].

[APP-1835].

37.3.5. [REDACTED]

[APP-1808].

37.3.6 [REDACTED]

[APP-1609].

37.3.7. [REDACTED]

[APP-1706].

37.3.8. [REDACTED]

[APP-1716]. [APP-1717].

[APP-1714].

[APP-1723].

37.3.9.

[APP-1863].

37.3.10.

[APP-1570].

37.3.11.

[APP-2305];

[APP-2352].

37.3.12.

[APP-1735].

37.3.13.

[APP-2211];

[APP-2206];

[APP-2213].

37.3.14.

[APP-2161].

37.3.15.

[APP-2287].

37.3.16.

[APP-2034]; [APP-2079].

37.3.17.

[APP-1912].

37.4. Additional port congestion impacts:

37.4.1.

[APP-1822].

37.4.2.

[APP-1779].

37.4.3.

[APP-1832].

37.4.4.

[APP-2221];

[APP-2222].

37.4.5.

[APP-2283].

37.4.6.

[APP-1635].

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

37.4.7.

[APP-1629].

37.4.8.

[APP-1639].

37.4.9.

[APP-1916].

37.4.10.

[APP-1574];

[APP-1799].

37.4.11.

[APP-1670].

37.4.12.

[APP-1593].

37.4.13.

[APP-1680].

[APP-1752].

37.4.14.

[APP-1607].

37.4.15.

[APP-2196].

37.4.16.

[APP-1864];

1872].

[APP-

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

37.4.17.

[APP-2164]; [APP-2171];
[APP-2180]; [APP-2183];
[APP-2186]; [APP-2191].

37.4.18.

[APP-1664].

37.4.19.

[APP-1694].

37.4.20.

[APP-1726].

37.4.21.

[APP-2265].

37.4.22.

[APP-2226].

37.4.23.

[APP-1681].

37.4.24.

[APP-2223].

37.4.25.

[APP-1612].

37.4.26.

[APP-1615].

37.4.27.

[APP-2026].

37.4.28.

[APP-1695].

37.4.29.

[APP-1758].

37.4.30.

[APP-1650].

37.4.31.

[APP-2297].

37.4.32.

[APP-1616].

37.4.33.

[APP-1697];

[APP-1698].

37.4.34.

[APP-1934];

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

[REDACTED] [APP-1974]; [REDACTED] [APP-1992];
[REDACTED] [APP-2012].

37.4.35.

[REDACTED]
[REDACTED] [APP-1623].

37.4.36.

[REDACTED]
[REDACTED] [APP-2354]; [REDACTED] [APP-2311];
[REDACTED] [APP-2325]; [REDACTED] [APP-2338].

37.4.37.

[REDACTED]
[REDACTED] [APP-1587];

37.4.38.

[REDACTED]
[REDACTED]
[REDACTED] [APP-1858].

37.4.39.

[REDACTED]
[REDACTED] [APP-1584].

38. BAL was well aware of the impacts of congestion at the Ports of Los Angeles and Long Beach. For example:

38.1.

[REDACTED]
[REDACTED]
[REDACTED] [APP-1491].

38.2.

[REDACTED]
[REDACTED] [APP-1492].

38.3.

[REDACTED]
[REDACTED] [APP-1473].

38.4.

[REDACTED]
[REDACTED] [APP-1481].

38.5.

[APP-1495].

38.6.

[APP-1550].

39. BAL received direct complaints about its response to congestion. For example:

39.1.

[APP-1473].

39.2.

[APP-1562]

39.3.

[APP-1521].

III. BAL Profited During the COVID-19 Pandemic

40. The container shipping industry tariff per diems during the height of the COVID-19 pandemic were double digit multiples more than what they were two decades ago at all major carriers. A catalyst for this change was the financial crisis of 2008 and the generally poor financial performance of the international container shipping industry that followed until the pandemic period. Because carrier profitability was generally low during that time, carriers had an incentive to increase accessorial charges to drive additional revenue. These large increases had less to do with incentivizing cargo owners to move and return containers promptly and more to do with a method to secure additional revenue for carriers that was under the radar and something that shippers in general were less aware of. McCown Report ¶ 41 [APP-33].

41. The only period during which BAL acted as a VOCC was 2021 to 2022, which overlaps with the COVID-19 pandemic. The total volume handled by BAL and its affiliates went from 212,371 TEU in 2020 to 380,269 TEU in 2021, 355,663 TEU in 2022, and 233,903 TEU in 2023. The loads moved within BAL's VOCC segment were a minority of this total—68,244 TEU (17.9%) in 2021 and 100,050 TEU (28.1%) in 2022. McCown Report ¶ 30 [APP-33]; *see* LC Logistics, Inc., Global Offering Prospectus, at 7, 215 (Sept. 13, 2023) [APP-2740]; LC Logistics, Inc. 2023 Annual Report, page 5 [APP-2545].

42. BAL accessed the transpacific market as a VOCC primarily by utilizing chartered-in container ships that augmented owned vessels. These were typically smaller vessels in the 1,000–2,000 TEU size range, well below the typical vessel used in the transpacific that was more in the 9,000 TEU range. McCown Report ¶ 31 [APP-33]; *see* LC Logistics, Inc. Global Offering Prospectus, at 16-17 (Sept. 13, 2023) [APP-2740]; *see* Chinese Carrier Makes \$48M Profit by Flipping Order on Two Boxships to MSC, Maritime Executive (Jul. 5, 2022), <https://maritime-executive.com/article/chinese-carrier-makes-48m-profit-by-flipping-order-on-two-boxships-to-msc> [https://maritime-executive.com/article/chinese-carrier-makes-48m-profit-by-flipping-order-on-two-\(last visited May 20, 2026\)](https://maritime-executive.com/article/chinese-carrier-makes-48m-profit-by-flipping-order-on-two-(last%20visited%20May%2020%2C%202026)%20%5BAPP-2439%5D) [APP-2439].

43. BAL’s two-year period as a VOCC in 2021 and 2022 produced exponentially expanding revenue and profit for LC. Compared to total revenue in 2020, the average total revenue in 2021 and 2022 was 5.97 times higher, going from \$107.5 million to an average of \$643.0 million. Total profit expanded 14.83 times, going from \$4.0 million to an average of \$59.1 million. McCown Report ¶¶ 33–34 [APP-33].

44. As the impact of the pandemic and related port congestion dissipated, BAL exited the VOCC segment, and LC’s actual 2023 revenue and profit declined approximately 70% compared to the average of 2021 and 2022. McCown Report ¶ 34 [APP-33].

ARGUMENT

I. Count I (“Unjust and unreasonable assessment of Detention and Demurrage Charges”): BAL’s Policy of Imposing Unreasonable Detention & Demurrage Charges Constitutes a Violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5.

A. Count I, Element 1: BAL is an ocean common carrier.

45. BAL is an ocean common carrier.

45.1. This element has been established. *Supra* ¶ 11.

45.2. This element is undisputed.

B. Count I, Element 2: BAL’s policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.

46. BAL’s acts or omissions in violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5 occurred on a normal, customary, and continuous basis.

46.1. This element has been established. *Infra* Arg.I.B.

46.2. This element is undisputed.

47. During the period of 2021 and 2022, \$9,695,192 in detention and demurrage charges (“Detention & Demurrage Charges” or “D&D Charges”) were assessed for BBY shipments moving under BAL terms. *See* McCown Report ¶ 124 (“Accordingly, it is my opinion that the

\$9,695,192 in D&D charges related to shipments made in 2021 and 2022 were unreasonable both in terms of the higher incidence of charges and the per diems themselves.”) [APP-33].

C. Count I, Element 3: BAL’s policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.

48. BAL’s practices and regulations as to the D&D Charges relate to or are connected with receiving, handling, storing, or delivering property.

48.1. This element has been established. *Infra* FOF Arg.I.C.

48.2. This element is undisputed.

D. Count I, Element 4: BAL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable.

49. The Detention & Demurrage Charges BAL assessed against BBY are unjust and unreasonable because such D&D Charges were based on rates that are unjustified as a means of compensating BAL for its direct or opportunity costs, the D&D Charges were assessed during a period of severe port congestion in light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY’s cargo, and BBY did all it could to mitigate the D&D Charges.

50. Appendix B of the McCown Report reflects payments made by BBY for demurrage charges charged by BAL for BAL shipments. The total amount of demurrage charges paid by BBY was \$6,021,609. *See* McCown Report Appendix B [APP-33].

51. Appendix C of the McCown Report reflects payments made by BBY for detention charges charged by BAL for BAL shipments. The total amount of detention charges paid by BBY was \$3,673,583. McCown Report Appendix C [APP-33].

52. BBY moved 618 40’ container loads with BAL during the period BAL operated as a VOCC. Of that total, 451 loads resulted in D&D charges by BAL that were paid by BBY. The total amount of D&D paid was \$9,695,192, comprised of \$6,021,609 in demurrage and \$3,673,583 in detention. McCown Report ¶ 35 [APP-33].

53. The average D&D per load of \$15,688, measured against all 618 loads moved by BBY with BAL, is staggering and is disproportionately higher than BBY’s experience with other carriers. With approximately three-quarters of the loads being assessed D&D charges, the incidence of loads billed was exponentially outside of BBY’s experience and further outside of industry norms. When total D&D charges are compared to just the 451 loads that were subject to charges, the resulting average amount is a staggering \$21,497 per load. McCown Report ¶ 36 [APP-33].

54. The 451 loads for which D&D charges were paid break down into 355 loads where only demurrage was charged, 83 loads where both demurrage and detention were charged, and 13 loads where only detention was charged. Almost one-fifth of the charges represent a “roundtrip hit”,

where the load was penalized on both inbound and outbound cycles. For some loads, the total charges paid exceeded the total value of the goods being shipped. McCown Report ¶ 37 [APP-33].

55. The demurrage charges on the 438 adjusted loads (excluding additional payments for the same shipment) came in at an average of \$13,748 per load, which would translate into 63.74 billable days at typical D&D tariff levels. The detention charges on the 96 adjusted loads came in at an average of \$38,266 per load, which would translate into 175.19 billable days at typical D&D tariff levels. McCown Report ¶¶ 38–39 [APP-33].

56. The trips by BAL on the transpacific lane that resulted in D&D Charges on average lasted 59 days, more than twice the typical VOCC. The range of the average transit time was “extraordinarily erratic.” When looking at the performance of all VOCCs in the same context of the pandemic, BAL’s operating performance was “much worse than the typical carrier.” McCown Report ¶ 89-90 [APP-33].

57. 73% of the loads that BBY moved with BAL had Charges that were paid, resulting in average D&D Charges well above ocean rate charges. Comparing BBY’s experience with BAL to industry data on D&D collected by the FMC shows that BBY’s experience resulted in paying charges 41 times higher as a percent of revenue and 199 times higher on a per total TEU handled basis. McCown Report ¶ 96 [APP-33].

1. BAL’s unreasonable detention and demurrage rates are unjustified as a means of compensating BAL’s direct or opportunity costs associated with container movement.

58. The Detention & Demurrage Charges BAL assessed against BBY were based on rates that are unjustified as a means of compensating BAL for its direct or opportunity costs.

59. BAL, including its senior employees and Hong Kong management team, was well aware that the incentive principle, as a means of promoting freight fluidity, acts as the FMC’s primary guideline for determining when detention and demurrage charges are reasonable to assess on shipping customers, such as BBY. *See Sun Corp. Dep. Tr. 13:18-14:20* (“Q. [D]id BAL have a process for confirming whether the detention charges were reasonable, given the circumstances in which they were imposed? MR. CULLINANE: Objection, vague. Objection, assumes facts. THE WITNESS: Can you please interpret in detail what the objections were? THE INTERPRETER: Interpreter will do so. THE WITNESS: First of all, BAL would announce the rates on the website ahead of time according -- in accordance to the FMC suggestions. Also, our agent, Norton Lilly, would inform us of any special requests by any clients, and we would take Norton Lilly’s suggestions into consideration. We do want to keep a long-term cooperative relationship with our clients, and therefore, we do sometimes provide additional discounts for them. Our detention collection procedure and our invoices are not problematic.”) [APP-1176]; *Liu Corp. Dep. Tr. 28:19-29:4* (“Q. Okay. Mr. Liu, how does BAL define demurrage fees? A. Well, demurrage is when -- for BAL is according to FMC. There’s a clear definition from FMC. When a container gets unloaded from the ship and it’s available for the pick up -- so a container is being available for pick up, and then the time has passed, because some time has gone by, that would be called demurrage.”), *41:16-21* (“Q. Mr. Liu, in 2021 and 2022, did BAL have official policies dictating when it would charge detention fees? A. Yeah. In regards to the fees to be charged for the detention,

BAL has the -- a definition on the FMC.”) [APP-969]; Liu Dep. Tr. 53:4-16 (“Did customers complain about detention charges based on a lack of appointments to return containers? A If the reason for not returning the containers is due to lack of appointments for returning these containers, there would not be a detention charge. Q Is that because BAL provided a refund? A No. This is not a refund. The money would not have been accepted in the beginning.”) [APP-980]; Ye Dep. Tr. 60:21-61:9 (“Q To your knowledge, Mr. Ye, when BAL was assessing detention and demurrage charges, was there an assessment about regulatory issues? MR. CULLINANE: Objection, overbroad. Objection, vague and ambiguous. Q Mr. Ye, you may answer. A Although I cannot fully assess whether our actions are in complete compliance of the law, we do our utmost diligence to be in compliance with the FMC regulations.”) [APP-1280].

60. BAL’s per diem detention and demurrage rates are multiples of the direct ownership costs associated with the underlying equipment. *See* McCown Report ¶ 53 (“Capital and maintenance costs will be estimated for the standard 40’ containers that are the dominant size. The cost of a new standard 40’ container in 2022 was approximately \$4,200. To be conservative, we will assume all of BAL’s containers are new. With a typical 13-year depreciable life and a 10% salvage value, which works out to an annual depreciation cost of \$291, which is equivalent to \$0.80 per day. An August 2021 article in Container News referred to 13 years as also being the average lease term for a long-term lease of new container equipment at that time when new high cube 40’ containers were selling for more than \$6,500. If a new 40’ container was financed through a lease rather than purchased outright, an annual lease factor of 10% is a reasonable estimate given current interest rates. Under such a lease, the annual cost of a new 40’ container would be \$420, which is equivalent to \$1.15 per day. Maintenance and repair costs are estimated at \$0.45 per day. In total, that puts the total direct ownership and maintenance costs for a 40’ container at from \$1.25 to \$1.60 per day.”) [APP-33].

61. In addition to the direct equipment ownership and maintenance cost, a container in a demurrage situation needs to be stored at the carrier’s terminal. Using a land rental cost of \$200,000 per acre per year—an amount more than sufficient to cover all terminal spaces in the U.S.—and a maximum storage capacity per acre of approximately 360 forty-foot containers stacked six high, the land rental cost works out to approximately \$1.52 per day per container. Because detention situations involve the container being stored at the shipper’s location, this cost does not apply to detention charges. McCown Report ¶ 54 [APP-33]; *see, e.g.*, Los Angeles Bd. of Harbor Comm’rs, Port of Los Angeles Adopted Annual Budget, Fiscal Year 2025/26, at 30, <https://kentico.portoflosangeles.org/getmedia/4dbca5be-8cef-452a-b691-f8d142059d09/Adopted-Annual-Budget-FY-2025-2026> (last visited May 20, 2026) [APP-3413].

62. The fact that the underlying direct cost is more than twice as high for demurrage as it is for detention, yet carriers’ tariff per diem amounts are the same for both, is further evidence of the arbitrariness of container shipping industry D&D tariff per diems. McCown Report ¶ 55 [APP-33].

63. During the Relevant Period, BAL’s per diem detention and demurrage rates were generally the same regardless of the length of the associated container. McCown Report ¶ 55 (“Furthermore, the per diems are generally the same regardless of equipment length, an arbitrary process inconsistent and at odds with the industry practice of charging different ocean freight rates based on equipment length.”) [APP-33].

64. The actual underlying cost factors, with the initial tariff per diem amounts being 86 times all of the quantifiable direct costs, provide no support for the first prong of the World Shipping Council's two prong justification for D&D charges. The exponential difference widens even more based on per diem rates at higher tiers and for carriers whose rates are above typical industry rates which could be the case with BAL. McCown Report ¶ 56 [APP-33].

65. "In comparisons of BBY's actual D&D experience related to loads it shipped with BAL, the most relevant comparisons, it was **41 times** more than the overall industry experience using the FMC's own industry data when the measuring yardstick was percent of revenue. When the measuring yardstick was amount per TEU, it was **199 times** more than the overall industry experience." See McCown Report ¶ 71 [APP-33].

66. Adding the land storage cost to the midpoint of equipment ownership and maintenance costs, the grand total direct equipment, maintenance, and storage cost for demurrage situations is approximately \$2.94 per day. For detention situations, where the container is at the shipper's facility and the carrier incurs no storage cost, the direct cost is only approximately \$1.42 per day. If BAL's initial tier average U.S. port per diem was the same as the typical industry rate of \$165, that rate would be 56 times the fully loaded overall direct cost for demurrage situations and 116 times the fully loaded overall direct cost for detention situations. McCown Report ¶ 55 [APP-33].

67. BAL's detention and demurrage rates constitute a practice of assessing detention and demurrage charges in order to drive profit, rather than to promote freight fluidity or for any other reasonable purpose. See McCown Report ¶ 80 [APP-33]; Ye Dep. Tr. 64:20-65:9 ("Q And the rates changed proportionally how? A I remember during 2021 our colleague had made suggestions regarding the cost for detention and demurrage, as well as its inherent profit or their inherent profit and there was a proposal, a suggestion about it and I had also listened to the suggestions from our commercial team and combining both suggestions comprehensively we had devised a new plan and it was handed to my superior, Ms. Cinda Li and after her approval, it was implemented.") [APP-1280].

68. Trailer Bridge, Inc. ("Trailer Bridge") represents a reasonable comparison for BAL's per diem detention and demurrage rates. See McCown Report ¶ 42-46 [APP-33].

68.1. Trailer Bridge was an integrated U.S. flag container carrier that, in addition to owning seven vessels, also owned and operated hundreds of over-the-road tractors and provided a complete integrated service to customers using its own assets. See (McCown Report ¶ 10 [APP-33]; Trailer Bridge Tariff Per Diems, Trailer Bridge, <https://www.trailerbridge.com/storage-and-demurrage/> (last visited May 20, 2026) [APP-3462].

68.2. Trailer Bridge was the first container carrier to move 48' and 53' equipment on its vessels and built the first vessels in the world configured exclusively for 53' containers. The Puerto Rico trade lane that was the primary market served by Trailer Bridge was and remains the largest volume north-south container trade lane involving the U.S. See McCown Report ¶ 11 [APP-33]; Trailer Bridge to be Awarded U.S. Patent, MarineLink (Nov. 14, 2007), <https://www.marinelink.com/news/trailer-awarded-bridge316057> (last visited May 20, 2026) [APP-3466]; Martin Placek, Container Port Cargo Throughput in

Puerto Rico 2019 Statista (2023), <https://www.statista.com/statistics/735064/container-port-cargo-volume-puerto-rico/> (last visited Jan 11, 2026) [APP-3490].

68.3. In a cover article in *American Shipper* in 2006, Trailer Bridge was ranked first in terms of operating income as a percent of revenue in a comparison of more than fifty container shipping companies worldwide for which actual results were known. In that comparison of 2005 annual results, Trailer Bridge's 17.3% margin was well above all of the major container carriers. *See* McCown Report ¶ 13 [APP-33].

69. BBY was damaged in the amount of \$9,638,883 out of the \$9,695,192 it actually paid in D&D charges to BAL. This figure is reached through a two-step reduction. First, scaling the total D&D charges down to what they would have been had BAL's D&D incidence matched industry norms — using FMC data showing the top nine carriers collected D&D equal to 1.53% of revenue versus BBY's extraordinary 62.96% ratio with BAL — brings the charges down to \$235,604. Second, applying a further 23.9% discount reflecting the fact that even standard industry per diem rates are themselves unreasonably high, based on a blended average of three benchmarks: Trailer Bridge's rates (21.3% of industry rates), European port rates (24.2%), and Knight Transportation trailer detention rates (26.3%) The difference between that and the \$9,695,192 actually paid results in the damages figure of \$9,638,883. McCown Report ¶¶ 46-48, 50, 51, 66-68, 71, 122-126 [APP-33].

70. Detention and demurrage rates assessed solely on the basis of “opportunity cost” are arbitrary. *See* McCown Report ¶ 59 (“The second factor, opportunity costs, appears to be an open-ended explanation that could be anything one needed it to be. Indeed, that factor could be used to justify almost any demurrage level. It is easy to see a carrier making the case that even a one day delay in getting a piece of equipment that somebody else was holding on to would result in losing a load. In that case, the claimed revenue loss could be many more times higher than current per diems, and that was even before rates spiked during the pandemic.”) [APP-33].

71. During the 2021-2022 shipping year, BAL's container ships were running full in the headhaul lanes. *See* McCown Report ¶ 61 (“But that was plainly not the case during the pandemic, when BAL along with all carriers have admitted that their container ships were running full at all relevant times in the key Asia to the U.S. trade lanes. BAL's full utilization during its VOCC period in the eastbound trade lanes was evident by multiple references to 100% utilization and chartering-in additional container ships in a filing with the Hong Kong Stock Exchange.”) [APP-33]; *see* LC Logistics, Inc., Global Offering Prospectus, at 239 (Sept. 13, 2023) [APP-2740].

72. BAL's full utilization during its VOCC period in the eastbound trade lanes was evident from multiple references to 100% utilization and chartering-in additional container ships reflected in its filings with the Hong Kong Stock Exchange. When ships are operating at full capacity, there is no ability to turn excess demand into additional revenue, and therefore there is no opportunity cost associated with container delays. McCown Report ¶¶ 61–62 [APP-33].

73. Even if an additional piece of equipment would theoretically have secured another load, there was no space on any BAL ship for that load. There was also no ability to return an empty container from the U.S. to Asia for productive use, because even in the backhaul direction ships were fully loaded—primarily with empty containers. Furthermore, contemporaneous media

accounts indicate that there were no container ships available for charter, as evidenced by large retailers chartering general cargo ships to move loads that container carriers could not handle. Any additional container would simply have been added to the backlog with no positive revenue consequence. McCown Report ¶ 63 [APP-33]; *see also, e.g., Amazon-Chartered Bulker Delivers Hundreds of Containers to Houston*, The Maritime Executive (Oct. 14, 2021), <https://maritime-executive.com/article/port-of-houston-highlights-amazon-containers-offloading-of-cargo-ship> (last visited May 20, 2026) [APP-2421].

74. Much of the demurrage and detention charges during the pandemic were a double-dipping windfall for BAL and other carriers. The same congestion issues at U.S. terminals—for which shippers like BBY were not responsible—that resulted in the explosion of such charges also resulted in dramatic increases in ocean freight rates. Any hypothetical opportunity cost to BAL from not having a container was more than compensated by higher freight rates. McCown Report ¶ 65 [APP-33].

75. BAL's detention and demurrage rates assessed during the pandemic are unjustifiable on the basis of opportunity costs. McCown Report ¶ 62 ("Full is full. The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the pandemic, when BAL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling.") [APP-33].

76. It is incumbent on a carrier to at all times have sufficient container equipment to operate all of its deployed vessels at full capacity. Given that fundamental requirement, when it is not operating at full capacity it therefore has available equipment and there can be no opportunity cost. When it is operating at full capacity, as noted above there is no ability to turn that excess demand into revenue and therefore there is no opportunity cost for a different reason. The so-called opportunity cost during the pandemic was actually non-existent and an invention by the carriers to justify U.S. per diem rates that themselves are unjustifiable. McCown Report ¶ 64 [APP-33].

77. BAL set its detention and demurrage rates not in order to compensate itself for the direct or opportunity costs associated with the use of its containers but as a means of driving revenue. *See* McCown Report ¶ 65 ("Much of the demurrage and detention charges during the pandemic were little more than a double-dipping windfall for BAL and various other carriers. The same congestion issues at U.S. terminals, for which shippers like BBY were certainly not responsible for, that resulted in the explosion of such charges also resulted in geometric increases in ocean freight rates. Any hypothetical opportunity cost to BAL or any carrier from not having a container was more than compensated in the form of higher rates.") [APP-33].

78

[APP-1549].

78.1.

[REDACTED]

[APP-1549].

2. BAL assessed unreasonable detention and demurrage charges against BBY.

79. The Detention & Demurrage Charges BAL assessed against BBY are unjust and unreasonable because such Charges were assessed during a period of severe port congestion in light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY's cargo, the Charges were arbitrary, BAL maintained unreasonable invoicing and collection practices, and BAL did not have a meaningful dispute resolution practice.

80. BAL knew that when a detention or demurrage charge was outside of the customer's control, the charge would likely not be appropriate under the incentive principle. *See* Sun Corp. Dep. Tr. 15:25-16:25 ("Q. And charging detention in 2021 and 2022, did BAL consider factors outside of a client's control that may have prevented or delayed them from returning empty containers? MR. CULLINANE: Objection, vague. Objection, overbroad. THE WITNESS: BAL did consider. BY MR. MORRIS: Q. And how did it consider them? A. Yes. BAL had managed a list of closed dates according to the terminal statistics, and this was given to Norton Lilly, and in accordance, we would remove the detention amount from the invoices. Also, if clients were to have other disputes, such as not being able to obtain appointments at the terminals when attempting to return the containers, then we would ask the clients to provide evidence of such a situation. After we review it -- we reviewed them, and we determined that the evidence was reasonable, then BAL would adjust the detention charge accordingly.") [APP-1176]; Zhu Corp. Dep. Tr. 23:8-25 ("Q In your own understanding, Mr. Zhu, why would those types of decisions be made in 2021 to 2022? MR. CULLINANE: And I'll just object. I'm fine with him answering, but he does so in his personal capacity. A. I am answering this question in a personal capacity. When a container is placed in an inaccessible area of the terminal and if the terminal still charges fees for this time, I believe it's unreasonable to the beneficiaries. The terminals, they understand this problem and therefore their invoices has already reduced such a charge when the container is inaccessible during this time.") [APP-1328].

80.1. [REDACTED]

[APP-1554].

81. During the pandemic years of 2021-2022, significant issues concerning congestion and shortages of equipment, space and labor combined to create an environment in which detention and demurrage charges skyrocketed. *See* McCown Report ¶ 99 (“The detention and demurrage charges at issue arose between 2021 and 2022, when the ports of Los Angeles and Long Beach experienced unprecedented, well-documented systemic congestion resulting from pandemic supply chain disruptions. The unprecedented congestion that gripped Los Angeles and Long Beach throughout 2021 and 2022 was extensively chronicled in both industry reports and contemporary commentary.”) [APP-33].

82. Industry D&D practices can be defined by actual data collected by the FMC that shows the total D&D income from the top nine carriers from the second quarter of 2020 through the fourth quarter of 2022. Those nine carriers represented 75.5% of total container shipping industry revenue over that period. The FMC data revealed that those nine carriers collected \$11.7 billion in D&D from April 2020 through December 2022. By measuring the quarterly index values from the FMC website during that timeframe the resulting amounts of D&D for 2020, 2021 and 2022 and the percent of revenue it represented of the nine carriers can be calculated. *See* McCown Report ¶¶ 66-67 (Table 3) [APP-33]; *see* the FMC Detention and Demurrage Data. <https://www.fmc.gov/detention-and-demurrage/> (last visited May 20, 2026) [APP-2446].

83. *The average BBY with BAL D&D per TEU of \$7,844 is 199 times the industry average of \$39.43 over the same time period.* This is tangible factual evidence that BAL’s D&D billing practices related to BBY were well outside of its own norms and even further outside of overall industry norms. These are facts that need to be taken into account in developing the record as a whole in determining what BAL’s D&D practices were and these measures relative to the industry are one key benchmark in determining their reasonableness. *See* McCown Report ¶ 70 (Table 5) [APP-33].

84. In comparisons of BBY’s actual D&D experience related to loads it shipped with BAL, the most relevant comparisons, it was **41 times more** than the overall industry experience using the FMC’s own industry data when the measuring yardstick was percent of revenue. When the measuring yardstick was amount per TEU, it was **199 times more** than the overall industry experience. *See* McCown Report ¶ 71 [APP-33].

85. Both the FMC itself and the Congressional subcommittee overseeing the FMC have made it abundantly clear that the level and trend of the aggregate D&D data that it is accumulating is important quantitative data that should be closely monitored and utilized to determine if regulatory involvement and even changes to regulations are necessary. After all, if such actual data, collected at considerable time and effort by the FMC and given priority by the Commission, is not used for those purposes, what is the point of accumulating and maintaining the data? Those purposes would certainly include using that industry data to assess the reasonableness of a carrier’s D&D practices with a specific shipper in a complaint filed with the FMC. *See* McCown Report ¶ 78 [APP-33].

86. When D&D tariff per diem rates are from 82 to 171 times the direct underlying ownership, maintenance and storage costs of the container, legitimate concerns can be raised that such tariff amounts are punitive and go beyond amounts considered reasonable to promote equipment fluidity. A legitimate goal of D&D tariff rates is to dissuade someone from using a container in lieu of storing cargo in a warehouse. A key statement in that letter from the FMC commissioner who led the Fact Finding Investigation No. 28 that is relevant to this situation was “when incentives no longer function because shippers are prevented from picking up cargo or returning containers within the allotted time, charges should be suspended.” *See* McCown Report ¶¶ 80-81 [APP-33]; *see* Average rent per square foot for industrial space in the U.S. in 2021, by type, Statista (2022), <https://www.statista.com/statistics/626555/average-rent-per-square-foot-paid-for-industrial-space-usa-by-type/> (last visited Jan. 20, 2026) [APP-3489]; Fact Finding Investigation No. 28 Final Report (Dec. 3, 2018), https://www2.fmc.gov/readingroom/docs/FF%20No.%2028/FF-28_FR.pdf/ (last visited Jan 11, 2026) [APP-2468]; Federal Maritime Commission, August 27, 2019 letter from Rebecca F. Dye addressed to all the other FMC commissioners, <https://www.fmc.gov/wp-content/uploads/2019/09/FF28FinalReportLetter.pdf> (last visited Jan 11, 2026) [APP-2506].

87. BAL’s practices with BBY were significantly worse and per se unreasonable. There is quantitative data showing that BAL engaged in practices that were wholly inconsistent with the Shipping Act. *See* McCown Report ¶ 84 [APP-33].

88. BAL employees have confirmed that the charges were assessed as intended. *See* Zhu Dep. Tr. 51:5-17 (“From 2021 to 2022, were you aware of any incorrect invoices for demurrage charges? A. The year 2021 to 2022 from my recollection I had received in my mail about two to three, but this rarely happens because the demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes. And the clients would most likely contact the terminal directly and the terminal might make the adjustments directly.”) [APP-1348].

89. Container shipping is most efficient when consistent. BAL’s erratic and inconsistent service made BBY’s planning and implementation significantly more difficult. Compared to other VOCCs, BAL’s practices had an even greater influence on congestion. If the delays were due to systemic or purposeful actions from BBY, the data should show a more consistent pattern than what it does. McCown Report ¶¶ 91-92 [APP-33].

90. The per diem claims by BAL against BBY exceed other situations with BBY. This incongruity may be explained by days waiting for a terminal berth, which should not be added to a D&D charge. McCown Report ¶ 93 [APP-33].

i. Port congestion and other factors resulting from the COVID-19 pandemic significantly disrupted the flow of containers.

91. BAL was aware of the congestion impacting ports throughout the world, including at the Ports of Los Angeles and Long Beach. *See* Sun Corp. Dep. Tr. 17:14-18:7 (“Q. Was BAL aware of port congestion at Los Angeles and Long Beach in 2021 and 2022? A. Yes. Q. What was BAL’s understanding of what was happening with port congestion at the time at Los Angeles and Long Beach? MR. CULLINANE: I’m just going to object that the question is outside the scope of

the appointed topic, but the witness can answer in her personal capacity. THE WITNESS: Personally speaking, the port congestion was due to the import volume in U.S. that has a sudden increase within a short amount of time, which is exceeding the daily operating limit, that's why.") [APP-1176]; Liu Dep. Tr. 31:5-12 ("Q. Just to take a step back, were you monitoring the effects of COVID-19 on port congestion? MR. CULLINANE: Objection. Vague and ambiguous. A As far as the Los Angeles port congestion, at the time many people know about this situation.") [APP-980]; Ye Dep. Tr. 22:13-25 ("Q. So once COVID was occurring, did anyone at BAL monitor the effects of the pandemic on port congestion? MR. CULLINANE: Objection. Vague. Q You can still answer, Mr. Ye. A So I came to BAL in the year 2021 in August. I am unsure of the situation before that, but when I started I had to continuously monitor the situation in China, as well as US in terms of the port situation."), 27:9-22 ("Q And how long did you continue this monitoring process for? A So this is part of my market research and I would pay attention continuously to all the ports in the world. Q So do you continue to monitor congestion impacts in your role today? A That's right. I continuously read about our LA ports through our agent. I also pay attention to the situation at Panama Canal, even Houston. I read continuously.") [APP-1280].

92. BAL was aware at the time that port and rail congestion impacted all of its BCO customers from 2021 through 2022. *See* Sun Corp. Dep. Tr. 21:16-22:2 ("A. Yes. Like I said before, the import volume had increased suddenly in the U.S., and it exceeded the limitation for the daily operations, and so, therefore, it brought difficulties in many ways. Q. And when you say 'many ways', what are you referring to? A. For example, the time waiting at the terminal has increased; the terminal had become congested; and there's a shortage of containers.") [APP-1176].

93. BAL was aware that port congestion impacted shippers' ability to pick up containers from port. *See* Liu Dep. Tr. 32:12-25 ("Q During 2021 through the 2022 period, did port congestion make it harder to pick up containers at US ports? A Well, the port congestion of course would bring difficulties, otherwise the port would not be congested. Q What ports in particular were affected by this congestion? A As far as I remember, I think every port has this problem. Q Including the port of LA Long Beach? A LA Long Beach, yes.") [APP-980]; Sun Dep. Tr. 52:8-52:21 ("Q. And do you know what caused the rental time increase? A. So it's mainly due to the congestion by the Los Angeles as well as the Long Beach ports. The port congestion had also made the customers' time for holding of the container longer, and the congestion outside of the port made it difficult for them to retrieve the containers, and therefore, the cycle of the containers increase in general -- I'm sorry, the cycle for the time of the containers operation had increased in general.") [APP-1192].

94. BAL was aware that a lack of appointment impacted shippers' ability to pick up or return containers from port. *See* Liu Dep. Tr. 33:19-34:2 ("Q Do you recall an issue where at a certain point ports at certain times experienced a lack of appointments for truckers to pick up or return containers? MR. CULLINANE: Objection. Vague. A As far as I remember, this situation does exist at some point.") [APP-980].

95. BAL was aware that a lack of chassis availability impacted shippers' ability to pick up containers from port. *See* Liu Dep. Tr. 40:12-17 ("Q Mr. Liu, again during the 2021 and 2022 period, did shippers experience a lack of chassis for picking up containers from the port? A As far as I know, this situation did exist.") [APP-980].

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95.1. BAL believed that a lack of chassis availability was not their concern. *See* Ye Dep. Tr. 40:16-20 (“So for one, our company does not involve with chassis pick up or the rail services. It is the customers themselves who would arrange for these and it’s not of our concern.”) [APP-1280].

95.2. BAL’s expert echoed this sentiment that port congestion issues did not warrant BAL’s attention. *See* Vogt Dep. Tr. 67:22-68:5 (“Q Okay. So to clarify, is it your position that BAL staff did not recognize these disruptions? A My comment is it doesn’t matter if they did recognize or didn’t recognize. It wasn’t their responsibility to get the containers back or move the containers out of the port.”) [APP-1237].

96. In December 2021, BAL was informed by a logistics company that despite its efforts it was unable to return most containers at TraPac terminal in Los Angeles due to a lack of return locations, noting that demurrage continued to accrue without assistance from the terminal or from BAL. McCown Report ¶ 111 [APP-33]; *see*

[APP-1473].

97. A BAL employee testified that these disruptions were highly visible and extensively documented in the public domain. McCown Report ¶ 112 [APP-33]; Liu Dep. Tr. at 31:10-23 (“A As far as the Los Angeles port congestion, at the time many people know about this situation. Q Describe your experience with port congestion in Los Angeles during that period of time. MR. CULLINANE: Objection to form. A Well, I don’t recall the specifics, but even on the news you can see that there were many ships that were staying at the dock. They were just waiting for spaces. You can see it in the news.”), 32:15-25 (“A Well, the port congestion of course would bring difficulties, otherwise the port would not be congested. Q What ports in particular were affected by this congestion? A As far as I remember, I think every port has this problem. Q Including the port of LA Long Beach? A LA Long Beach, yes.”) [APP-980].

98. During the same time period that BAL imposed these charges on BBY, BAL itself challenged congestion charges imposed on it by Long Beach terminals, arguing that “[t]he congestion fee charge is unjust and unreasonable because it does not serve to address the issue of congestion and it imposed a burden on BAL Container Line.” McCown Report ¶ 113 [APP-33]; BAL v. SSA Marine Terminal, Complaint at ¶ 32. [https://www2.fmc.gov/readingroom/docs/23-11/23-11%20Verified%20Complaint%20\(W%20Exhibits\)%2019.pdf/](https://www2.fmc.gov/readingroom/docs/23-11/23-11%20Verified%20Complaint%20(W%20Exhibits)%2019.pdf/) (last visited May 20, 2026) [APP-2429].

99. In Summer 2022, labor actions in Los Angeles and Long Beach led to “substantial operational disruptions,” causing delays in vessel traffic. McCown Report ¶ 107 [APP-33]; August Saraiva, *Labor unrest at Southern California ports sends ship traffic elsewhere*, Los Angeles Times (June 8, 2023), <https://www.latimes.com/business/story/2023-06-08/la-ports-ship-traffic-as-labor-disrupts-cargo> (last visited May 20, 2026) [APP-2537].

ii. BAL assessed arbitrary and exorbitant detention and demurrage charges against BBY.

100. BAL sought to, and did, profit from demurrage charges in addition to covering its costs. *Supra* Intro. III.

101. The D&D Charges imposed by BAL on BBY were disproportionate as compared to industry standards. *Supra* ¶ 53.

102. The D&D Charges imposed by BAL were imposed without regard to whether it was within BBY's control to pick up and return of containers. *Supra* ¶ 37.

103. The locations where BAL profited from demurrage charges included the Ports of Los Angeles and Long Beach. *See Supra* ¶ 38; Sun Corp. Dep. Tr. 17:14-17 ("Q. Was BAL aware of port congestion at Los Angeles and Long Beach in 2021 and 2022? A. Yes.") [APP-1192].

104. BAL recognized that it would be improper to charge detention and demurrage for circumstances outside of a shipper's control. Despite this, in practice BAL charged first and left it up to the shipper to challenge, with the goal of collecting as much as possible up front. *Supra* ¶ 81.

105. BAL was closely tracking port congestion and delays. BAL manages the arrival of ships from China by analyzing the shipping schedule and terminal conditions to coordinate berthing, unloading, and the resolution of issues arising from port congestion during container pickup and return. *See Liu Corp. Dep. Tr. 37:17-38:16* ("THE WITNESS: So there's the destination port for BAL, where the ship comes in from China to the port here in the U.S. Now, due to the shipping schedule -- due to the shipping schedule, now the ship arrives the terminal, and then we would analyze the situations, how to better plan ourselves as best as possible, and then -- and then there's the -- there's a time in which you have to wait for the berth -- it would have to wait for the berth to be available. Then you would have to unload from the ship -- there are the goods to be unloaded onto the terminal, and then there could be congestions, and the congestions could cause -- and then there's the -- could cause issues, and then there would be the picking up the containers, and returning the containers, and then if there are any issues, then we would have to take care of those issues.") [APP-969]

106. BAL policy was to refund demurrage and detention charges only if a customer could prove BAL's miscalculation. *See Liu Dep. Tr. 53:22-54:13* ("Q So who would inform customers that they didn't have to pay for the days there were no appointments? A So BAL provides clear instructions for detention charge. If a client was not able to gain appointment and if they provide clear evidence, then no detention charge would have been incurred. Q Who would they provide evidence to? A We have a special mailbox that the clients know about. If they come across such problems, they would know to mail to this mailbox. It's dd@bal.cn.") [APP-980]; Ye Dep. Tr. 42:11-16 ("Q So was there a policy at BAL that Cathy and Parker had to consider when issuing refunds, Mr. Ye? A If it's necessary and if the evidence are valid, then we would give the refund.") [APP-1280].

3. Factors outside of BBY's control interfered with BBY's *bona fide* and significant efforts to mitigate BAL's unreasonable detention and demurrage charges.



108. As detailed above, numerous factors outside of BBY's control interfered with BBY's *bona fide* and significant efforts to mitigate the D&D Charges assessed by BAL.

109. BBY did everything it could to minimize demurrage and get containers out of port in a timely manner. *See* Porter Dep. Tr. 27:8-24 ("Q. Generally, in 2021 and 2022, what was supposed to happen when a container of Bed Bath & Beyond goods arrived at St. George in Santa Fe Springs? A. During that time, it was not a normal operational year for us just because of the way -- containers didn't flow like they normally did just because of the COVID shutdowns, just the way the vessels arrived, just the way the ports were operating. It just was not a good time period for us. So our norm didn't come into play. So because of that, it was just kind of -- we were in survival mode. So containers would arrive and depending on spacing, capacity, weather, staffing, you know, for various reasons we would unload containers as best we can and ship product out as fast as we could. It was just -- basically, we were in survival mode to try to get freight in and out as fast as we could to make space."), 74:20-23 ("Q. In your opinion, did you make all reasonable efforts within your job functions to move containers promptly during the backups in 2021 to 2022? A. Yes, I did.") [APP-1112].

109.1. BBY hired a broker and brought in additional drayage partners to help address shipping backlogs. *See* Porter Dep. Tr. 41:11-42:4 ("Q. And then why in 2021 and 2022 did BBB[Y] start using multiple dray carriers? A. In 2020, because of the increase in volume that we knew was coming, part of our plan that we had talked about, we -- I went out and reached out to adding an addition dray partner, which was Knight Transportation. Because of that volume that we were expecting in 2020, we felt that adding an additional carrier would help us with that increase in volume. And then due to the situation that we found ourselves in with the bottlenecks and the -- you know, we had to get everything, you

know, as fast as we could off the dock. And, you know, with chassis shortages, we reached out to Forrest Logistics, who's a broker, to see if they could help, you know, using a broker model to help us get additional capacity to get containers off dock. And those were my three dray partners that I had during this time period.") [APP-1112].

109.2. BBY sought additional drayage partners with chassis available. *See* Porter Dep. Tr. 42:5-12 ("Q. It sounds like you're saying that Knight and Pacific Drayage didn't have the capacity to handle all of the containers for BBB[Y]? A. They would have had the capacity, but the issue we -- seems like everybody was running into was that there was a chassis shortage. So we needed to go out and get other carriers that had chassis available to help us get containers.") [APP-1112].

109.3. BBY brought in EDRAI to help manage the movement of inbound containers. *See* Klosowsky Dep. Tr. 129:14-130:4 ("A. Well, we were -- this is January 12th, 2022. I think we were starting to onboard at that time EDRAI, who if you remember is -- is a tech company that receives electronic data from the ocean carriers, all of them. And I think we were trying to get a list from them of the containers by, you know, ship date or something that would first, you know, FIFO kind of thing, if I'm remembering correctly. And they had dates on ships arriving and all of that kind of stuff. So I think that's what that was related to, a list of the containers by arrival date so that we were prioritizing the oldest first at that -- with -- through their tracking system. I think this was again. Supplement to other data that we would have with Yusen or the local operators. I think that's what this was.") [APP-885]; BBY v. Evergreen Line Joint Service Agreement et al., FMC Dkt No. 24-12, Klosowsky Dep. Tr. 94:21-95:5 ("A: And in a time frame when all these shipments were getting bunched up, some of the shipments were higher priority than others. So we needed to be able to identify a bunch of things. And most of that prioritization was based on how long the container had been at the carrier's terminal on the port, so that we could do a first-in, first-out kind of, to make sure that we accounted for. Because the charges and the demurrage fees were racking up rapidly.") [APP-795]; Pastor Dep. Tr. 28:22-29:5 ("Q. Are you familiar with a company called EDRAI? A. Yes. Q. And did they assist Bed Bath & Beyond? A. Yes. MR. HILL: Objection. Q. BY MR. CULLINANE: What did they do for Bed Bath & Beyond? A. They were brought on to help manage the inbound containers.") [APP-1088].

109.4. BBY organized calls that included carriers, distribution centers, and BBY's drayage vendor, EDRAI, in order to help coordinate solutions to port congestion and shipping backlog issues. *See* Klosowsky Dep. Tr. 111:12-15 ("A. But EDRAI is a technology company that was helping us track down and then try to predict based on the port delays when that container would be available for us to pull off -- off the ship and off the port.") [APP-885]; Porter Dep. Tr. 67:6-19 ("Q. And what did EDRAI do for Bed Bath & Beyond? A. They came onboard in the middle of this time period to help manage our container visibility. Q. And the middle of the time period, are you saying like fall of 2021? A. I'm not sure when they came onboard, but it was during this time period. I don't know exactly when they came onboard. Q. Okay. And can you be any more specific as to what they did for BBB[Y], if you know? A. They helped manage the visibility of where containers were, as far as at the port or in -- for me, where they were as far as what St. George facility and what terminals they were at.") [APP-1112].

110. BBY was not understaffed in 2021 and 2022 to handle all of the containers that were coming in. *See* Porter Dep. Tr. 69:12-15 (“Q. Would you say that you were understaffed in 2021 and 2022 to handle all of the containers that were coming in? A. No, I wouldn’t say that.”) [APP-1112].

111. During 2021 and 2022, BBY staff described BBY as having to work in “survival mode,” working quickly to move containers as best as possible despite the impact of port congestion, delays, and the vessels anchored by Los Angeles and Long Beach. BBY staff noted a “multitude” of factors that made it difficult to move containers during this period of high congestion: containers being physically unavailable for pickup; unavailability of required appointments; and lack of chassis. McCown Report ¶ 114 [APP-33]; Porter Dep. Tr. 27:8-24 (“Q. Generally, in 2021 and 2022, what was supposed to happen when a container of Bed Bath & Beyond goods arrived at St. George in Santa Fe Springs? A. During that time, it was not a normal operational year for us just because of the way -- containers didn’t flow like they normally did just because of the COVID shutdowns, just the way the vessels arrived, just the way the ports were operating. It just was not a good time period for us. So our norm didn’t come into play. So because of that, it was just kind of -- we were in survival mode. So containers would arrive and depending on spacing, capacity, weather, staffing, you know, for various reasons we would unload containers as best we can and ship product out as fast as we could. It was just -- basically, we were in survival mode to try to get freight in and out as fast as we could to make space.”) [APP-1112]; Klosowsky Dep. Tr. 39:14-24 (“Q. And it looks like here she’s sending a report of anchored vessels. Do you know why she was sending you and all these other folks this report of anchored vessels in November of 2021? A. I presume to give us an update on where cargo that had been ordered and shipped was currently located. Because there were a lot of delays during that time period. Q. Do you recall that there were lots of vessels anchored out in the LA Long Beach in November of 2021? A. I do.”) [APP-885]; Hackett Dep. Tr. 60:18-61:10 (“A. It does appear that way. I can tell you that also during this time what we found -- and it wasn’t just Los Angeles, but all the ports -- they were getting very clogged, and oftentimes, containers could be and would be put like in a closed area of a yard or maybe just unavailable to get picked up. Also, because of really during that time the congestion at these different terminals, for the most part, you always needed a pickup appointment. And if they didn’t have any appointments, that could also be a reason why something might sit there. So the terminal just -- you know, also drayage carriers, they were obviously very busy. A lack of chassis. So there’s a multitude, I think, of things, especially at that time, that may have contributed to a container maybe not getting picked up in a timely fashion.”) [APP-598].

112. [REDACTED] McCown Report ¶ 115 [APP-33]; [REDACTED] [APP-1835].

113. [REDACTED]

McCown Report ¶ 116 [APP-33]; [APP-1714];
[APP-1723]; [APP-1745];
[APP-1706].

114

[APP-1718]; [APP-1752].

115.

McCown Report ¶ 118 [APP-33];
[APP-1756];

[APP-1725].

116.

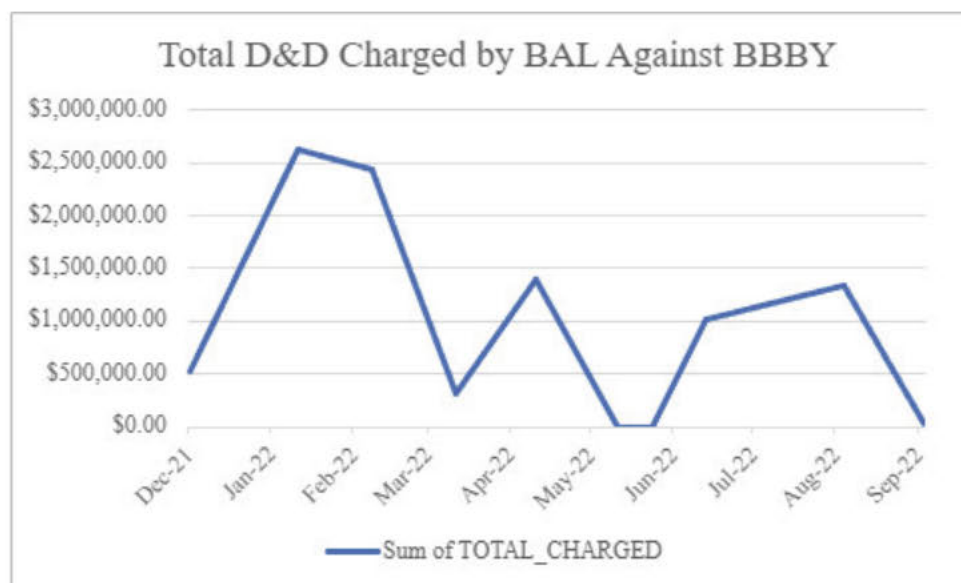
McCown Report ¶ 118 [APP-33]; [APP-1756];
[APP-1725].

117.

McCown Report ¶ 119
[APP-33]; [APP-1699].

118. The chart below illustrates that a significant portion of the detention and demurrage charges BAL assessed against BBY during the relevant time period occurred in periods when port congestion issues were spiking. *See supra* Intro. II.

Chart 1:



E. Count I, Element 5: BAL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY's claimed losses.

119. BAL's practices and regulations are the proximate cause of the losses claimed by BBY.

119.1. This element has been established. *Infra* Arg.I.E.

119.2. This element is undisputed.

II. Reparations

120. Table I is based on *supra* Arg.I.

Table 1:

Count (Reparation Type):	Reparations Amounts:
Count I: Demurrage Charges	\$6,021,609
Count I Detention Charges	\$3,673,583
Grand Total:	\$9,695,192

121. As to Count I, BBY is entitled to reparations from BAL in the amount of \$9,695,192.

122. Appendices B and C of the McCown Report reflect payments made by BBY for detention and demurrage charges charged by BAL for BAL shipments. *See* McCown Report Appendices B and C [APP-33].

123. Consistent with the allegations in the Complaint, Appendix B of the McCown Report reflects that BAL charged BBY \$6,021,609 in demurrage charges. McCown Report, Appendix B [APP-33]. Consistent with the allegations in the Complaint, Appendix C of the McCown Report reflects that BAL charged BBY \$3,673,583 in detention charges, for a total of \$9,695,192 in detention and demurrage charges. *See* McCown Report, Appendix C [APP-33].

123.1. The total amount of \$9,695,192 in detention and demurrage charges was excessive.

123.1.1. BAL suffered no opportunity cost in relation to the containers underlying the total amount of \$9,695,192 in detention and demurrage charges. *Supra* Arg.I.D.1. McCown Report ¶¶ 123-124 [APP-33].

123.1.2. The total amount of \$9,695,192 in detention and demurrage charges are unreasonable.

123.1.3. Port congestion issues and other factors made it impossible for BBY to move the containers underlying the total amount of \$9,695,192 in detention and demurrage charges. *Supra* Arg.I.D.2-3.

124. Even if any of BAL's determinations are correct as to the validity of any of the total amount of \$9,695,192 in detention and demurrage charges, BAL's rates were grossly excessive. *Supra* Arg.I.D.

125. The imposition of Detention and Demurrage Charges was unreasonable in that there was no basis for imposing such Charges.

126. There is no error in BBY's calculation of detention and demurrage damages as to Count I.

III. Experts

A. Carlton W. Vogt III

1. Experience

127. Vogt's core expertise is accounting and audit work, not maritime operations. He only has peripheral exposure to shipping through financial reporting and is not a maritime operations expert. *See* Vogt Dep. Tr. 12:6-7 ("A I'm an accountant for some 35 years.") [APP-1237].

127.1. Vogt admitted that he does not have specific experience in shipping operations and logistics. *See* Vogt Dep. Tr. 22:3-5 ("Q. Do you have specific experience in shipping operations and logistics? A. I am — no. I do not.") [APP-1237].

127.2. Vogt's evaluation of shipping practices is based on "contractual terms" and "reading industry literature". *See* Vogt Dep. Tr. 22:12-16 ("THE WITNESS: My -- my evaluation of shipping practices is solely based upon the contractual terms of any of those arrangements and also reading industry literature.") [APP-1237].

128. In his accounting role, Vogt has a single shipping company client, Yang Ming, for which his work is limited to financial audits and tax filings, not operational roles. *See* Vogt Dep. Tr. 17:2-10 (“A The role entails preparing audited financial statements that get submitted to Deloitte and Touche for the consolidated Yang Ming Marine published financials as them being a public company in Taiwan. And then we prepare the income tax returns for the U.S. tax filings. We also audit the Canadian entities”) [APP-1237].

128.1. Only 5-10% of Vogt’s accounting and audit work is spent on Yang Ming. *See* Vogt Dep. Tr. 18:13-17 (“Q. let’s just say for the last five years, what percentage of your work time would you say is spent on working with Yang Ming? A Between 5 and 10 percent.”) [APP-1237].

128.2. Vogt has only ever made port “visits” for Yang Ming for the purpose of audit verifications, not operations. *See* Vogt Dep. Tr. 18:18–19:11 (“Q Okay. Have you ever visited a Yang Ming container terminal? A I have visited the Port of Tacoma and the Port of L.A. Q Okay. And what was the purpose of those visits? A Those were entities. The Port of Tacoma was a wholly owned subsidiary. They get rolled up into Yang Ming. And Port of L.A. was a 40 percent joint venture enterprise that gets rolled up into Yang Ming. Q Okay. And what did you do on those visits? A That’s the transactions for purpose of the audit, audited financial statement. And validating account balances.”) [APP-1237].

129. Vogt has only served as an expert twice before, both times tied to Yang Ming. *See* Vogt Dep. Tr. 15:14–16:9 (“A Yes. Q How many times? A Twice. Q Okay. And what was the first case? A Yang Ming vs. Impact. Q Okay. And which party were you an expert for in that case? A The -- Yang Ming, the respondent. Q Okay. And did you submit a written expert report in that case? A Yes. Q Okay. And were you deposed in that case? A Yes. Q Okay. And what was the second case? A It's the same thing as BBY against Yang Ming.”) [APP-1237].

2. Credibility

130. Vogt is not familiar with the Shipping Act. *See* Vogt Dep. Tr. 45:9-11 (“Are you familiar with the Shipping Act? A. Other than the words? No.”) [APP-1237].

131. Vogt is not familiar with the FMC’s Incentive Principle. *See* Vogt Dep. Tr. 38:20–23 (“Are you familiar with the Federal Maritime Commission’s Incentive Principle? A. No.”) [APP-1237].

132. Vogt could not comment on whether BAL had agreements in place with marine terminal operators. *See* Vogt Dep. Tr. 39:7-11 (“Did BAL have formal agreements in place with marine terminal operators during the relevant period of this case? I have no idea.”) [APP-1237].

133. When asked to provide his reasoning for his opinion that “the European container market was vastly different than the U.S container market during COVID”, he responded “I have no idea”. *See* Vogt Dep. Tr. 38:3-19 (“Q So is it your opinion that the European container market was vastly different than the U.S. container market during COVID? A Yes. Q And what made it vastly different? A For reasons I do not know. They had less logistical problems in the European markets than the United States market. Whether it's backlog of ships being unloaded, whether it's

chassis, drivers, logistics, who -- I have no idea. All I do know is the statistics were less problematic in the other -- in all the markets but the U.S. Published statistics.”) [APP-1237].

134. Vogt suggested that McCown’s 4Q 2022 report did not exist. *See* Vogt Dep. Tr. 24:25-25:8 (“Q Okay. So still looking on page 1, I’m looking in the fourth paragraph toward the bottom and you say, “Oddly, Mr. McCown’s annual 4Q 2022 report does not exist.” What is your basis for that statement? A I -- it was not available on his website when they looked.”) [APP-1237]. Yet Vogt then proceeded to include a document that explicitly cited that very 4Q 2022 report data in an exhibit to his own report. Vogt Report at Ex. 13 [APP-92].

135. Vogt has worked on audits for Yang Ming for 15 years. *See* Vogt. Dep. Tr. 17:13-15 (“Q.... And how long have you been working with Yang Ming? A. About 15 years.”) [APP-1237].

136. In 2013, Vogt’s then employer, Sherb & Co LLP, was sanctioned by the SEC for the “failed audits of three China-based companies publicly traded in the U.S.” *See SEC Charges New York-Based Audit Firm and Four Accountants for Failures in Audits of China-Based Companies*, SEC Press Release No. 2013-238 (Nov. 7, 2013), <https://www.sec.gov/newsroom/press-releases/2013-238/> (last visited May 20, 2026) [APP-3459]. The behavior in question led to the SEC ordering that “Sherb, Valleau, and Mycio are prohibited from practicing before the SEC as an accountant for at least five years, and Epstein is barred for at least three years.” *Id.*

137. In 2015, the SEC charged Vogt in connection with a deficient financial audit of Miller Energy Resources Inc., whom he worked for while at Sherb & Co LLP. The CEO and CFO of Miller Energy Resources Inc. were charged with inflating the values of oil and gas properties, resulting in fraudulent financial reports. The SEC stated that “Vogt issued an unqualified opinion of Miller Energy’s 2010 annual report and is alleged to have falsely stated that the audit was conducted in accordance with the standards of the Public Company Accounting Oversight Board and that Miller Energy’s financial statements were presented fairly and conformed with U.S. generally accepted accounting principles.” At the time, the SEC sought to “bar... Vogt from public company accounting.” *See Miller Energy Resources, Former CFO, Current COO Charged With Accounting Fraud*, SEC Press Release No. 2015-161 (Aug. 6, 2015), <https://www.sec.gov/newsroom/press-releases/2015-161> (last visited May 20, 2026). [APP-3397].

138. He was ultimately barred from practicing before the SEC as an accountant for three years. *See In re Carlton W. Vogt III*, Action No. 614 (SEC), <https://research.secd.law.nyu.edu/Search/ActionDetail/360/614> (last visited May 20, 2026) [APP-3479].

139. In April 2024, in connection to the Miller energy case, the New York State Education Department’s Office of the Professions disciplined Vogt, and instituted a 1 year stayed suspension, 1 year probation, and \$3000 fine. *See Enforcement Actions*, N.Y. State Educ. Dep’t, Office of the Professions, at pg.4 <https://www.op.nysed.gov/enforcement/enforcement-actions> (last visited May 21, 2026) [APP-2450].

140. Vogt joined RBSM LLP as a Partner in 2016, where he still currently works. RBSM bought Sherb & Co LLP in 2013, and Steve Sherb, who was sanctioned by SEC in 2013, was

brought on a consultant. *See RBSM LLP Acquires Sherb & Co. LLP*, PR.com Press Release (Jan. 28, 2013), <https://www.pr.com/press-release/477449> (last visited May 20, 2026) [APP-3456].

141. In 2021, RBSM LLP, was subject to sanctions by the Public Company Accounting Oversight Board. In addition to censure, the board imposed a \$50,000 fine and required the oversight of an independent consultant for three years. In the sanctioning order, the PCAOB noted that “from 2014 through 2017, PCAOB inspectors repeatedly brought concerns to the Firm’s attention related to significant deficiencies in various audit areas, and raised concerns that RBSM’s system of quality control failed to provide reasonable assurance of complying with the related professional standards. Despite the Firm’s awareness of these deficiencies and concerns, the Firm’s internal monitoring procedures failed to provide reasonable assurance that its system of quality control was effective, and the Firm failed to make changes to improve its system of quality control, as indicated by the repeated significant deficiencies in the 2014 through 2017 inspections and a subsequent 2019 inspection.” *See In re RBSM LLP*, PCAOB Release No. 105-2021-004, at 2–3 (Aug. 9, 2021), <https://pcaobus.org/enforcement/decisions/documents/105-2021-004-rbsm.pdf> (last visited May 20, 2026) [APP-3400].

3. Bias

142. Vogt's lack of knowledge in the shipping industry leads him to unnuanced, uninformed conclusions.

143. For example, despite vessels and vessel size being relevant to container stacks, insufficient appointments, and other factors connected to congestion, and therefore detention and demurrage charges, Vogt denies any relevance. *See* Vogt Dep. Tr. 31:22 – 32:21 (“Q Okay. So looking at Section 31 to 32, you stated here that “the sales of vessels and size of vessels utilized” is not relevant to the claims. Why is that? A The claim is for BBBY is for demurrage detention. That is for the failure to remove a container from the port, failure to return a container back to the port. Vessels have nothing to do with the D -- D and D charges. Q In your opinion, do you think any actions affecting vessel capacity are relevant to detention and demurrage claims? MR. COLLINS: Objection. It's vague. And I'll also object to the extent it calls for a legal conclusion. THE WITNESS: No. The vessel size has nothing to do with demurrage and detention. Demurrage and detention is strictly the fees incurred for the failure to remove -- remove a container from or to a port.) [APP-1237].

144. Yet despite claiming that “[v]essels have nothing to do with [D&D] charges, Vogt uses vessels to try and undermine the McCown Report. When discussing paragraph 57-60 of the McCown Report, Vogt argues that “[c]ommentary made by Mr. McCown is subjective and does not address the unique costs and vessel capacity of BAL.” *See* Expert Report of Carl Vogt, CPA, p. 8 [APP-92].

145. Vogt's lack of knowledge in the differences between NVOCC and VOCCs has a similar impact on his analysis. Vogt cites a typical difference between NVOCC and VOCC pricing as an example of BAL's “above industry average” operational performance. *See* Vogt Dep. Tr. 31:22 – 32:21 (“Q. In your opinion, was BAL's operational performance above, comparable to, or below industry averages? A. Based on the data that I have seen in this case and others, I believe they were a bit above industry averages. Q. Okay. And what specific data are you referencing as the basis for that opinion? A. I don't remember the exact paragraph, but I know the cost to move a container was by far well below if BBB had employed the NVOCC to move the very same containers. So if anything, if BBB had employed a NVOCC to move these containers, they would've incurred vastly higher cost.”) [APP-1237].

B. Gary Kardian

1. Experience

146. Kardian's experience does not include working with BCOs. *See* Kardian Dep. Tr. 21:15-17. (“Q: Have you ever worked for a BCO in the shipping industry? A I have not, no.”) [APP-656].

147. Kardian's experience at Yang Ming does not include directly working on demurrage or detention policies. *See* Kardian Dep. Tr. 34:3-11 (“Q. Were you involved in creating any of Yang Ming's policies with respect to how detention or demurrage is charged? A. Most of the -- in my involvement with the detention and demurrage, I would review the tariff rules, because I was very familiar with tariffs as well as demurrage and detention, and they would ask for my input.”) [APP-656].

148. Kardian did not work directly with the LA or Long Beach port. *See* Kardian Dep. Tr. 32:3-11 (“Q. And did you ever do any of this type of analysis on West Coast ports in this role? A. The only port that we really took a look at, we did call the port of Portland, Oregon, which we – we were -- us and another carrier were the only two carriers that serviced it on a direct basis.”) [APP-656].

149. Kardian has never worked for a retailer or in a warehouse. *See* Kardian Dep. Tr. 145:15-21 (“Q Mr. Kardian, have you ever worked for a retailer? A I have not, no. Q Have you ever worked in a warehouse? A I’ve been in many warehouses. I never worked in the warehouse myself.”) [APP-656].

150. While at the FMC, Kardian did not examine the reasonableness of rates. *See* Kardian Dep. Tr. 77:8-12 (“Q. Did you, as a part of your role as director, assess the reasonability of any of the rates that you reviewed within tariffs from ocean carriers? A. No, we did not.”) [APP-656].

151. When asked what a viable excuse would have been for a trucker unable to return a container, Kardian gave examples such as when a trucker tried to return a container but could not because the terminal closed or was unable to receive it: “to me, you can't penalize a trucker for trying to return something if they can't return it simply because, you know, it's out of their control.” *See* Kardian Dep. Tr. 44:10-45:17 (“Q And can you provide us with an example of what a viable excuse might have been at the time for one of the service contracts that you were working on with regard to trying to waive a detention charge? A Sure. One of the circumstances was weather-related. Sometimes in -- in, you know, December, January, February, when you get a lot of snow, sometimes marine terminals will be open. But let's say the snow's, you know, coming down hard. They would close the terminal -- terminal. So while the terminal may have been open, you know, let's say to eleven o'clock in the morning, you know, they basically -- A trucker may have attempted to return a container, but the terminal was closed by the time that they would get there, or they would see -- receive a notice through their, you know, phone that the terminal was closing. So therefore, even though the container [sic] was open to return the container, it wasn't open all day. And because of that, that -- that to me was a viable, you know, related matter and verifiable, because you could say, “Okay. We attempted to return, but the terminal was closed.” Well, to me, you shouldn't penalize somebody the fact that they couldn't return it that day, because, sure, they were open for three hours, but, you know, it was not open in the afternoon.”) [APP-656].

2. Credibility

152. In his report, Kardian claimed to the FMC's witness on demurrage and detention during his time at the FMC. Yet Kardian admitted that he only served once as a witness, and that was during his retirement. He did not testify on demurrage and detention at the FMC, let alone as the FMC's expert witness. *See* Kardian Dep. Tr. 88:24-90:10 (“Q. Okay. So I just want to reread this paragraph. It says “During my tenure at the FMC, I served as the FMC's expert witness for demurrage and detention issues.” Is that statement accurate based on your testimony you just gave? MR. COLLINS: Objection. He's already answered the question. THE WITNESS: Right. So just like I -- when I did the case for Wan Hai, I had retired from the FMC. So I served as the expert witness in that case. But there were other matters before the Bureau of Enforcement during my time when I worked in the Bureau of Trade Analysis that I assisted them with demurrage and detention issues. So they had reached out to me because of my operational experience working

with the various terminals. So yes, that -- that is -- you know, that is correct. BY MS. PRIYA: Q. But you did not serve as the FMC's expert witness while still working at the FMC; is that correct? A. Well, if you mean testifying -- because a lot of those matters that they brought forth were settled. They -- they did not go to a formal proceeding. They were resolved while I was there in BTA to, you know -- the carriers settled before they ever went to an actual proceeding at the FMC file.") [APP-656].

153. Kardian did not know what kind of knowledge BAL would have regarding the NVOCCs it worked with, despite that being a core part of the BAL business model. *See* Kardian Dep. Tr. 181:15-45:17 ("Q. Would BAL have had knowledge about the bunching effect with respect to NVOs that it worked with? A. I mean, I can't speak for BAL, but -- because NVOs aren't the importer of the cargo, so, I mean -- you know, you could deal with NVOs, but you have no idea who the ultimate customer of the NVO is. Q. But BAL would have an opportunity to monitor these types of impacts on the NVOs that were handling.") [APP-656].

154. Kardian did not know what kind of capacity BAL operated under. *See* Kardian Dep. Tr. 194:2-8 ("Q. So would it be fair to say that you don't know with any certainty whether BAL's vessels were at 100 percent capacity? A That's correct. I have no information to provide whether they were full or not.") [APP-656].

3. Bias

155. Kardian repeatedly mentioned changes BBY should have made, despite his own admission that the interpretive rule applied. *See* Kardian Dep. Tr. 152:6 – 154:22 ("Q. And do you know if Bed Bath and Beyond attempted to bring in more labor in order to move containers faster during the 2020 to 2022 period? A. Well, the only thing I can surmise from Melinda Porter's testimony is they -- they were trying to do the best they can. So what that entailed, I do not know. However, when you take a look at the number of containers for BAL that were not returned back to the pier as well as the amounts of the demurrage, this -- this was a substantial amount, you know --In this matter for BAL, this was a substantial amount of containers. Q. What does it mean to you if someone says they were doing the best that they could? A. Well, that -- that's -- that could mean a lot of different things. But in this particular matter, this is involving demurrage and detention. And what it boils down to is did -- you know, did BAL charge demurrage in accordance with the interpretive rule? Did they charge detention in accordance with the interpretive rule? That -- that's what this whole case to me matters, is, you know, if they -- if they follow the FMC's interpretive rule, if they adhere to the regulations and the Shipping Act, they billed according to their tariff, they -- if they could not provide access to the containers, they extended free time, then they did everything they -- they could that was required as a VOCC. Q. So was -- under the interpretive rule, is a beneficial cargo owner required to mitigate the circumstances in order to avoid detention and demurrage chargers. A. Could you repeat that? Q Sure. I'm trying to understand your report, because what you've done in the paragraph we've just been describing is provide argument as to what Bed Bath could have done. But then when I asked you further, you mentioned the interpretive rule and how the interpretive rule is the crux of the case. So I want to understand how to reconcile those two. Does the interpretive rule require that a shipper like Bed Bath and Beyond would take extra steps to try to increase its warehouse space or other types of mitigation related to the flow of containers? A. The -- the interpretive rule does not require that. The interpretive rule is directed towards the ocean carrier to invoice correctly the demurrage and detention.") [APP-656].

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156. Kardian's information for this case was tightly controlled. *See* Kardian Dep. Tr. 159:13-23 "Q. So what information as it relates to BAL's charges of D&D to Bed Bath and Beyond in this case did you review to come to these conclusions? A. So the -- the spreadsheets that were given, I guess initially, by Norton Lilly in terms of what the charges were, and I looked at them. I looked at the tariff to make sure they generally were consistent with what the charges should be.") [APP-656].

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Respectfully submitted,

HUTH REYNOLDS LLP

/s/ J. Zachery Morris

Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

J. Zachery Morris

(332) 203-4571

zmorris@huthreynolds.com

Gregory A. Crapanzano II

(917) 575-3440

gcrapanzano@huthreynolds.com

Mohini P.B. Rarrick

(818) 235-9753

mpriya@huthreynolds.com

Heewan Noh

(202) 420-9628

hnoh@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc.*

EXHIBIT A

FILED UNDER SEAL

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy of the document to its counsel of record listed below:

Bryce M. Cullinane, Esq. CASB No. 307079

bcullinane@tocounsel.com

David P. Collins, Esq. CASB No. 356864

dcollins@bmc.law

8885 Research Drive, Suite 150

Irvine, CA 92618

Counsel for Respondent BAL Container Line Co., Limited

Dated: May 22, 2026

/s/J. Zachery Morris

J. Zachery Morris

Counsel for Complainant 20230930-DK-
Butterfly-1, Inc.